TATA CONSULTANCY SERVICES LIMITED
Consolidated Interim Balance Sheet

(₹ crore)

	Note	As at December 31, 2025	As at March 31, 2025
ASSETS			
Non-current assets			
Property, plant and equipment	10(a)	10,861	10,978
Capital work-in-progress	10(a)	2,588	1,546
Right-of-use assets	9	10,548	9,275
Goodwill	10(b)	2,653	1,860
Other intangible assets	10(c)	286	940
Financial assets			
Investments	8(a)	249	275
Trade receivables			
Billed	8(b)	95	91
Unbilled		177	38
Loans	8(e)	775	25
Other financial assets	8(f)	3,537	2,731
Deferred tax assets (net)	16	4,002	3,578
Income tax assets (net)		1,694	1,569
Other assets	10(d)	2,313	3,712
Total non-current assets		**39,778**	**36,618**
Current assets			
Inventories	10(e)	26	21
Financial assets			
Investments	8(a)	45,546	30,689
Trade receivables			
Billed	8(b)	56,052	50,142
Unbilled		9,029	8,904
Cash and cash equivalents	8(c)	7,510	8,342
Other balances with banks	8(d)	8,465	7,121
Loans	8(e)	9	9
Other financial assets	8(f)	2,072	2,742
Income tax assets (net)		228	257
Other assets	10(d)	15,553	14,784
Total current assets		**1,44,490**	**1,23,011**
TOTAL ASSETS		**1,84,268**	**1,59,629**
EQUITY AND LIABILITIES			
Equity			
Share capital	8(l)	362	362
Other equity		1,13,147	94,394
Equity attributable to shareholders of the Company		**1,13,509**	**94,756**
Non-controlling interests		1,073	1,015
Total equity		**1,14,582**	**95,771**
Liabilities			
Non-current liabilities			
Financial liabilities			
Lease liabilities		9,081	7,838
Other financial liabilities	8(g)	562	680
Employee benefit obligations	13	1,088	841
Deferred tax liabilities (net)	16	1,200	980
Unearned and deferred revenue		528	518
Total non-current liabilities		**12,459**	**10,857**
Current liabilities			
Financial liabilities			
Lease liabilities		1,740	1,554
Trade payables		14,630	13,909
Other financial liabilities	8(g)	9,645	8,542
Unearned and deferred revenue		4,205	4,028
Other liabilities	10(f)	6,945	7,188
Provisions	10(g)	1,195	180
Employee benefit obligations	13	5,560	4,885
Income tax liabilities (net)		13,307	12,715
Total current liabilities		**57,227**	**53,001**
TOTAL EQUITY AND LIABILITIES		**1,84,268**	**1,59,629**

NOTES FORMING PART OF CONSOLIDATED INTERIM FINANCIAL STATEMENTS

As per our report of even date attached

For and on behalf of the Board

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Executive Director – President and COO
DIN: 07121802

Aniruddha Godbole
Partner
Membership No: 105149

Mumbai, January 12, 2026

Samir Seksaria
CFO

Mumbai, January 12, 2026

Yashaswin Sheth
Company Secretary

TATA CONSULTANCY SERVICES LIMITED
Consolidated Interim Statement of Profit and Loss

(₹ crore)

	Note	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Revenue from operations	11	67,087	63,973	1,96,323	1,90,845
Other income	12	1,118	1,243	3,645	2,934
TOTAL INCOME		**68,205**	**65,216**	**1,99,968**	**1,93,779**
Expenses					
Employee benefit expenses	13	38,530	35,956	1,14,851	1,09,026
Cost of equipment and software licences	14(a)	1,262	3,519	2,955	8,900
Finance costs	15	538	234	962	569
Depreciation and amortisation expense		1,380	1,377	4,154	3,863
Other expenses	14(b)	9,026	7,464	25,395	22,492
TOTAL EXPENSES		**50,736**	**48,550**	**1,48,317**	**1,44,850**
PROFIT BEFORE EXCEPTIONAL ITEMS AND TAX		**17,469**	**16,666**	**51,651**	**48,929**
Exceptional items					
Re-structuring expenses	22	253	-	1,388	-
Statutory impact of new Labour Codes	23	2,128	-	2,128	-
Provision towards legal claim	19	1,010	-	1,010	-
PROFIT BEFORE TAX		**14,078**	**16,666**	**47,125**	**48,929**
Tax expense					
Current tax	16	3,424	4,217	11,556	12,585
Deferred tax	16	(66)	5	(101)	(160)
TOTAL TAX EXPENSE		**3,358**	**4,222**	**11,455**	**12,425**
PROFIT FOR THE PERIOD		**10,720**	**12,444**	**35,670**	**36,504**
OTHER COMPREHENSIVE INCOME (OCI)					
Items that will not be reclassified subsequently to profit or loss					
Remeasurement of defined employee benefit plans		236	41	289	54
Net change in fair values of investments in equity shares carried at fair value through OCI		67	(6)	105	(18)
Income tax on items that will not be reclassified subsequently to profit or loss		(66)	(14)	(75)	(22)
Items that will be reclassified subsequently to profit or loss					
Net change in fair values of investments other than equity shares carried at fair value through OCI		(164)	(133)	(311)	313
Net change in intrinsic value of derivatives designated as cash flow hedges		-	29	(11)	19
Net change in time value of derivatives designated as cash flow hedges		15	22	(7)	-
Exchange differences on translation of financial statements of foreign operations		262	(780)	2,016	(237)
Income tax on items that will be reclassified subsequently to profit or loss		38	21	83	(82)
TOTAL OTHER COMPREHENSIVE INCOME / (LOSSES)		**388**	**(820)**	**2,089**	**27**
TOTAL COMPREHENSIVE INCOME FOR THE PERIOD		**11,108**	**11,624**	**37,759**	**36,531**
Profit for the period attributable to:					
Shareholders of the Company		10,657	12,380	35,492	36,329
Non-controlling interests		63	64	178	175
		10,720	**12,444**	**35,670**	**36,504**
Other comprehensive income for the period attributable to:					
Shareholders of the Company		417	(776)	2,075	30
Non-controlling interests		(29)	(44)	14	(3)
		388	**(820)**	**2,089**	**27**
Total comprehensive income for the period attributable to:					
Shareholders of the Company		11,074	11,604	37,567	36,359
Non-controlling interests		34	20	192	172
		11,108	**11,624**	**37,759**	**36,531**
Earnings per equity share:- Basic and diluted (₹)	17	29.45	34.21	98.09	100.40
Weighted average number of equity shares		361,80,87,518	361,80,87,518	361,80,87,518	361,80,87,518

NOTES FORMING PART OF CONSOLIDATED INTERIM FINANCIAL STATEMENTS

As per our report of even date attached

For and on behalf of the Board

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Executive Director – President and COO
DIN: 07121802

Aniruddha Godbole
Partner
Membership No: 105149

Samir Seksaria
CFO

Yashaswin Sheth
Company Secretary

Mumbai, January 12, 2026

Mumbai, January 12, 2026

TATA CONSULTANCY SERVICES LIMITED

Consolidated Interim Statement of Changes in Equity

A. EQUITY SHARE CAPITAL

(₹ crore)

Balance as at April 1, 2025	Changes in equity share capital due to prior period errors	Restated balance as at April 1, 2025	Changes in equity share capital during the period	Balance as at December 31, 2025
362	-	362	-	362

(₹ crore)

Balance as at April 1, 2024	Changes in equity share capital due to prior period errors	Restated balance as at April 1, 2024	Changes in equity share capital during the period	Balance as at December 31, 2024
362	-	362	-	362

TATA CONSULTANCY SERVICES LIMITED

Consolidated Interim Statement of Changes in Equity

B. OTHER EQUITY (₹ crore)

	Reserves and surplus					Items of other comprehensive income				Equity attributable to shareholders of the Company	Non-controlling interests	Total equity
	Capital reserve	Capital redemption reserve	Special Economic Zone re-investment reserve	Retained earnings	Statutory reserve	Investment revaluation reserve	Cash flow hedging reserve		Foreign currency translation reserve			
							Intrinsic value	Time value				
Balance as at April 1, 2025	**75**	**444**	**1,085**	**88,777**	**173**	**655**	**9**	**(24)**	**3,200**	**94,394**	**1,015**	**95,409**
Changes in accounting policy / prior period errors	-	-	-	-	-	-	-	-	-	-	-	-
Restated balance as at April 1, 2025	**75**	**444**	**1 085**	**88 777**	**173**	**655**	**9**	**(24)**	**3 200**	**94 394**	**1,015**	**95 409**
Profit for the period	-	-	-	35,492	-	-	-	-	-	35,492	178	35,670
Other comprehensive income / (losses)	-	-	-	214	-	(128)	(8)	(5)	2,002	2,075	14	2,089
Total comprehensive income	**-**	**-**	**-**	**35,706**	**-**	**(128)**	**(8)**	**(5)**	**2,002**	**37,567**	**192**	**37,759**
Dividend	-	-	-	(18,814)	-	-	-	-	-	(18,814)	(134)	(18,948)
Transfer from Special Economic Zone re-investment reserve	-	-	(1,085)	1,085	-	-	-	-	-	-	-	-
Transfer to reserves	-	-	-	(19)	19	-	-	-	-	-	-	-
Realised gain on equity shares carried at fair value through OCI	-	-	-	37	-	(37)	-	-	-	-	-	-
Balance as at December 31, 2025	**75**	**444**	**-**	**1,06,772**	**192**	**490**	**1**	**(29)**	**5,202**	**1,13,147**	**1073**	**1,14,220**
Balance as at April 1, 2024	**75**	**444**	**16,234**	**70,033**	**160**	**235**	**9**	**(18)**	**2,955**	**90,127**	**830**	**90,957**
Changes in accounting policy / prior period errors	-	-	-	-	-	-	-	-	-	-	-	-
Restated balance as at April 1, 2024	**75**	**444**	**16 234**	**70 033**	**160**	**235**	**9**	**(18)**	**2 955**	**90 127**	**830**	**90 957**
Profit for the period	-	-	-	36,329	-	-	-	-	-	36,329	175	36,504
Other comprehensive income / (losses)	-	-	-	32	-	216	13	1	(232)	30	(3)	27
Total comprehensive income	**-**	**-**	**-**	**36,361**	**-**	**216**	**13**	**1**	**(232)**	**36,359**	**172**	**36,531**
Dividend	-	-	-	(17,367)	-	-	-	-	-	(17,367)	(98)	(17,465)
Gain on sale of shares to non-controlling interests				7						7	21	28
Transfer from Special Economic Zone re-investment reserve	-	-	(9,775)	9,775	-	-	-	-	-	-	-	-
Transfer to reserves	-	-	-	(12)	12	-	-	-	-	-	-	-
Balance as at December 31, 2024	**75**	**444**	**6,459**	**98,797**	**172**	**451**	**22**	**(17)**	**2,723**	**1,09,126**	**925**	**1,10,051**

Gain of ₹214 crore and ₹32 crore on remeasurement of defined employee benefit plans (net of tax) is recognised as a part of retained earnings for nine months ended December 31, 2025 and 2024, respectively.

Total equity (primarily retained earnings) includes ₹1,588 crore and ₹1,638 crore as at December 31, 2025 and 2024, respectively, pertaining to trusts and TCS Foundation held for specified purposes.

Nature and purpose of reserves

(a) Capital reserve

The Group recognises profit and loss on purchase, sale, issue or cancellation of the Group's own equity instruments to capital reserve.

(b) Capital redemption reserve

As per Companies Act, 2013, capital redemption reserve is created when company purchases its own shares out of free reserves or securities premium. A sum equal to the nominal value of the shares so purchased is transferred to capital redemption reserve. The reserve is utilised in accordance with the provisions of section 69 of the Companies Act, 2013.

(c) Special Economic Zone re-investment reserve

The Special Economic Zone (SEZ) re-investment reserve is created out of the profit of eligible SEZ units in terms of the provisions of section 10AA(1)(ii) of the Income-tax Act, 1961. The reserve will be utilised by the Group for acquiring new assets for the purpose of its business as per the terms of section 10AA(2) of Income-tax Act, 1961.

(d) Retained earnings

This reserve represents undistributed accumulated earnings of the Group as on the balance sheet date.

(e) Statutory reserve

Statutory reserves are created to adhere to requirements of applicable laws and will be utilised in accordance with the said laws.

(f) Investment revaluation reserve

This reserve represents the cumulative gains and losses arising on the revaluation of equity and debt instruments on the balance sheet date measured at fair value through other comprehensive income. The reserves accumulated will be reclassified to retained earnings and statement of profit and loss respectively, when such instruments are disposed.

(g) Cash flow hedging reserve

The cash flow hedging reserve represents the cumulative effective portion of gains or losses arising on changes in fair value of designated portion of hedging instruments entered into for cash flow hedges. Such gains or losses will be reclassified to statement of profit and loss in the period in which the underlying hedged transaction occurs.

(h) Foreign currency translation reserve

The exchange differences arising from the translation of financial statements of foreign operations with functional currency other than Indian Rupee is recognised in other comprehensive income and is presented within equity in the foreign currency translation reserve.

NOTES FORMING PART OF CONSOLIDATED INTERIM FINANCIAL STATEMENTS

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

Aniruddha Godbole
Partner
Membership No: 105149

Mumbai, January 12, 2026

For and on behalf of the Board

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Executive Director – President and COO
DIN: 07121802

Samir Seksaria
CFO

Yashaswin Sheth
Company Secretary

Mumbai, January 12, 2026

TATA CONSULTANCY SERVICES LIMITED
Consolidated Interim Statement of Cash Flows

(₹ crore)

	Nine months ended December 31, 2025	Nine months ended December 31, 2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit for the period	35,670	36,504
Adjustments for:		
Depreciation and amortisation expense	4,154	3,863
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	100	104
Provision towards legal claim (Refer note 19)	1,010	-
Tax expense	11,455	12,425
Net gain on lease modification	(24)	(14)
Net gain on sub-lease	(2)	-
Unrealised foreign exchange (gain) / loss	(129)	11
Net gain on disposal of property, plant and equipment	(7)	(13)
Net gain on disposal / fair valuation of investments	(500)	(195)
Net gain on fair valuation of call option	(43)	-
Transaction cost on incorporation of subsidiary	18	-
Interest income	(2,960)	(2,535)
Dividend income	(26)	(37)
Finance costs	962	569
Operating profit before working capital changes	**49,678**	**50,682**
Net change in		
Inventories	(5)	2
Trade receivables		
Billed	(3,645)	(7,397)
Unbilled	325	987
Loans and other financial assets	48	(333)
Other assets	1,604	(2,225)
Trade payables	(1,044)	3,705
Unearned and deferred revenue	(40)	188
Other financial liabilities	1,295	(177)
Other liabilities and provisions	369	551
Cash flows generated from operations	**48,585**	**45,983**
Taxes paid (net of refunds)	(10,379)	(11,596)
Net cash flows generated from operating activities	**38,206**	**34,387**
CASH FLOWS FROM INVESTING ACTIVITIES		
Bank deposits placed	(5,087)	(4,902)
Inter-corporate deposits placed	(750)	-
Purchase of investments#	(1,14,866)	(1,03,350)
Payment for purchase of property, plant and equipment	(2,565)	(2,176)
Payment including advances for acquiring right-of-use assets	(74)	(83)
Payment for purchase of intangible assets	(352)	(163)
Acquisition of assets (Refer note 20)	(554)	-
Advance towards acquisition of investment	(250)	-
Proceeds from bank deposits	3,465	469
Proceeds from inter-corporate deposits	-	170
Proceeds from disposal / redemption of investments#	1,00,634	93,660
Proceeds from sub-lease receivable	7	3
Proceeds from disposal of property, plant and equipment	18	17
Interest received	2,139	2,069
Dividend received	62	34
Proceeds from disposal of right-of-use assets	4	-
Loan given	-	(26)
Acquisition of Subsidiary (net of cash of ₹16 crore) (Refer note 7(a))	(542)	-
Transaction cost on incorporation of subsidiary	(18)	-
Net cash flows used in investing activities	**(18,729)**	**(14,278)**

TATA CONSULTANCY SERVICES LIMITED
Consolidated Interim Statement of Cash Flows

(₹ crore)

	Nine months ended December 31, 2025	Nine months ended December 31, 2024
CASH FLOWS FROM FINANCING ACTIVITIES		
Repayment of lease liabilities[1]	(1,375)	(1,261)
Interest paid	(654)	(550)
Dividend paid	(18,814)	(17,367)
Dividend paid to non-controlling interests	(134)	(98)
Sale of shares to non-controlling interests	-	28
Net cash flows used in financing activities	**(20,977)**	**(19,248)**
Net change in cash and cash equivalents	**(1,500)**	**861**
Cash and cash equivalents at the beginning of the period	8,342	9,016
Exchange difference on translation of foreign currency cash and cash equivalents	668	48
Cash and cash equivalents at the end of the period	**7,510**	**9,925**
Components of cash and cash equivalents		
Balances with banks		
In current accounts	2,632	2,336
In deposit accounts	4,818	7,578
Cheques on hand	-*	-*
Cash on hand	-*	-*
Remittances in transit	60	11
	7,510	**9,925**

*Represents value less than ₹0.50 crore.

#Purchase of investments include ₹317 crore and ₹175 crore for nine months ended December 31, 2025 and 2024, respectively, and proceeds from disposal / redemption of investments include ₹196 crore and ₹169 crore for nine months ended December 31, 2025 and 2024, respectively, held by trusts and TCS Foundation held for specified purposes.

[1]Changes in lease liabilities including both changes arising from cash flows and non-cash changes are given in note 9.

NOTES FORMING PART OF CONSOLIDATED INTERIM FINANCIAL STATEMENTS

As per our report of even date attached

For and on behalf of the Board

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Executive Director – President and COO
DIN: 07121802

Aniruddha Godbole
Partner
Membership No: 105149

Mumbai, January 12, 2026

Samir Seksaria
CFO

Mumbai, January 12, 2026

Yashaswin Sheth
Company Secretary

1) Corporate information

Tata Consultancy Services Limited ("the Company") and its subsidiaries (collectively together with employee welfare trusts referred to as "the Group") provide IT services, consulting and business solutions and have been partnering with many of the world's largest businesses in their transformation journeys. The Group offers a consulting-led, cognitive powered, integrated portfolio of IT, business and engineering services and solutions. This is delivered through its unique Location-Independent Agile delivery model recognised as a benchmark of excellence in software development.

The Company is a public limited company incorporated and domiciled in India. The address of its corporate office is TCS House, Raveline Street, Fort, Mumbai - 400001. As at December 31, 2025, Tata Sons Private Limited, the holding company owned 71.74% of the Company's equity share capital.

The Board of Directors approved the consolidated interim financial statements for nine months ended December 31, 2025 and authorised for issue on January 12, 2026.

2) Statement of compliance

These consolidated interim financial statements have been prepared in accordance with the Indian Accounting Standards (Ind AS), including the requirements of Ind AS 34 - Interim Financial Reporting, as prescribed under section 133 of the Companies Act, 2013 read with the Companies (Indian Accounting Standards) Rules as amended from time to time.

3) Basis of preparation

These consolidated interim financial statements have been prepared on historical cost basis except for certain financial instruments and defined benefit plans which are measured at fair value or amortised cost at the end of each reporting period. Historical cost is generally based on the fair value of the consideration given in exchange for goods and services. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. All assets and liabilities have been classified as current and non-current as per the Group's normal operating cycle. Based on the nature of services rendered to customers and time elapsed between deployment of resources and the realisation in cash and cash equivalents of the consideration for such services rendered, the Group has considered an operating cycle of 12 months.

The statement of cash flows has been prepared under indirect method, whereby profit or loss is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and items of income or expense associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Group are segregated. The Group considers all highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value to be cash equivalents.

The functional currency of the Company and its Indian subsidiaries is the Indian Rupee (₹). The functional currency of foreign subsidiaries is the currency of the primary economic environment in which the entity operates. Foreign currency transactions are recorded at exchange rates prevailing on the date of the transaction. Foreign currency denominated monetary assets and liabilities are retranslated at the exchange rate prevailing on the balance sheet dates and exchange gains and losses arising on settlement and restatement are recognised in the statement of profit and loss. Non-monetary assets and liabilities that are measured in terms of historical cost in foreign currencies are not retranslated.

The material accounting policy information related to preparation of the consolidated interim financial statements have been discussed in the respective notes.

4) Basis of consolidation

The Company consolidates all entities which are controlled by it.

The Company establishes control when; it has power over the entity, is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect the entity's returns by using its power over relevant activities of the entity.

Entities controlled by the Company are consolidated from the date control commences until the date control ceases.

The results of subsidiaries acquired, or sold, during the year are consolidated from the effective date of acquisition and up to the effective date of disposal, as appropriate.

The financial statements of the Group companies are consolidated on a line-by-line basis and all inter-company transactions, balances, income and expenses are eliminated in full on consolidation.

Changes in the Company's interests in subsidiaries that do not result in a loss of control are accounted for as equity transactions. The carrying amount of the Company's interests and the non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiaries. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognised directly in equity and attributed to shareholders of the Company.

Assets and liabilities of entities with functional currency other than the functional currency of the Company have been translated using exchange rates prevailing on the balance sheet date. Statement of profit and loss of such entities has been translated using weighted average exchange rates. Translation adjustments have been reported as foreign currency translation reserve in the statement of changes in equity. When a foreign operation is disposed off in its entirety or partially such that control, significant influence or joint control is lost, the cumulative amount of exchange differences related to that foreign operation recognised in OCI is reclassified to statement of profit and loss as part of the gain or loss on disposal.

5) Use of estimates and judgements

The preparation of consolidated interim financial statements in conformity with the recognition and measurement principles of Ind AS requires management of the Group to make estimates and judgements that affect the reported balances of assets and liabilities, disclosures of contingent liabilities as at the date of consolidated interim financial statements and the reported amounts of income and expenses for the periods presented.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and future periods are affected.

The Group uses the following critical accounting judgements, estimates and assumptions in preparation of its consolidated interim financial statements:

(a) Revenue recognition

Revenue for fixed-price contracts is recognised using percentage-of-completion method. The Group estimates the future cost-to-completion of the contracts which is used to determine degree of completion of the performance obligation.

The Group exercises judgement for identification of performance obligations, determination of transaction price, ascribing the transaction price to each distinct performance obligation and in determining whether the performance obligation is satisfied at a point in time or over a period of time. These judgements have been explained in detail under the revenue recognition note (Refer note 11).

(b) Useful lives of property, plant and equipment

The Group reviews the useful life of property, plant and equipment at the end of each reporting period. This reassessment may result in change in depreciation expense in future periods (Refer note 10(a)).

(c) Impairment of goodwill

The Group estimates the value-in-use of the cash generating units (CGUs) based on the future cash flows after considering current economic conditions and trends, estimated future operating results and growth rate and anticipated future economic and regulatory conditions. The estimated cash flows are developed using internal forecasts. The discount rates used for the CGUs represent the weighted average cost of capital based on the historical market returns of comparable companies (Refer note 10(b)).

(d) Fair value measurement of financial instruments

When the fair value of financial assets and financial liabilities recorded in the balance sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques including the Discounted Cash Flow model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

(e) Impairment of financial assets (other than at fair value)

Measurement of impairment of financial assets require use of estimates, which have been explained in the note on financial assets, financial liabilities and equity instruments, under impairment of financial assets (other than at fair value) (Refer note 8)).

(f) Deferred tax assets

A deferred tax asset is recognised to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences and tax losses can be utilised. Accordingly, the Group exercises its judgement to reassess the carrying amount of deferred tax assets at the end of each reporting period.

(g) Provisions and contingent liabilities

The Group estimates the provisions that have present obligations as a result of past events and it is probable that outflow of resources will be required to settle the obligations. These provisions are reviewed at the end of each reporting period and are adjusted to reflect the current best estimates.

The Group uses significant judgements to assess contingent liabilities. Contingent liabilities are disclosed when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Group or a present obligation that arises from past events where it is either not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of the amount cannot be made. Contingent assets are neither recognised nor disclosed in the consolidated interim financial statements.

(h) Employee benefits

The accounting of employee benefit plans in the nature of defined benefit requires the Group to use assumptions. These assumptions have been explained under employee benefits note (Refer note 13).

(i) Leases

The Group evaluates if an arrangement qualifies to be a lease as per the requirements of Ind AS 116. Identification of a lease requires significant judgement. The Group uses significant judgement in assessing the lease term (including anticipated renewals) and the applicable discount rate.

The Group determines the lease term as the non-cancellable period of a lease, together with both periods covered by an option to extend the lease if the Group is reasonably certain to exercise that option; and periods covered by an option to terminate the lease if the Group is reasonably certain not to exercise that option. In assessing whether the Group is reasonably certain to exercise an option to extend a lease, or not to exercise an option to terminate a lease, it considers all relevant facts and circumstances that create an economic incentive for the Group to exercise the option to extend the lease, or not to exercise the option to terminate the lease. The Group revises the lease term if there is a change in the non-cancellable period of a lease.

The discount rate is generally based on the incremental borrowing rate specific to the lease being evaluated or for a portfolio of leases with similar characteristics.

6) Recent pronouncements

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time.

In May 2025, MCA notified amendments to Ind AS 21 - The Effects of Changes in Foreign Exchange Rates, applicable w.e.f. April 1, 2025. The Group has reviewed the amendment and based on its evaluation has determined that it does not have any significant impact in its financial statements.

In August 2025, MCA notified the following amendments to:

1. Ind AS 1, Presentation of Financial Statements, applicable w.e.f April 1, 2025 - The amendment relates to classification of liabilities as current or non -current and non-current liabilities with covenants. In the context of classifying a liability as current, it removes the requirement of existence of a right to defer settlement for at least 12 months after the reporting date, and instead requires that the said right should exist on the reporting date and have substance. The amendment also introduces guidance on classification of liabilities with covenants. The Group has no impact of these amendments in its classification criteria of current and non-current liabilities.
2. Ind AS 7, Statement of Cash Flows and Ind AS 107, Financial Instruments - Disclosures, applicable w.e.f April 1, 2025 – The amendment in Ind AS 7 requires to inform users of financial statements of the existence of supplier finance arrangements and explain the nature of the arrangements, the carrying amount of liabilities and the range of payment due dates. Ind AS 107 has been amended to add supplier finance arrangements as a factor that may cause concentration of liquidity risk. The Group has reviewed the amendment and based on its evaluation has determined that it does not have any significant impact in its financial statements.
3. Ind AS 12, International Tax Reform – Pillar Two Model Rules applicable immediately - The amendments provide a temporary mandatory relief from deferred tax accounting for top-up tax and disclose that they have applied the relief. This relief is immediate and applies retrospectively. The amendments also require companies to provide new disclosures to compensate for potential loss of information resulting from the relief. Such disclosures are to be provided for annual reporting periods beginning on or after April 1, 2025. The Group has applied the mandatory relief and will evaluate the new disclosure requirement relating to annual financial statements, as appropriate and disclose accordingly.

7) Business combinations

The Group accounts for its business combinations under acquisition method of accounting. Acquisition related costs are recognised in the consolidated interim statement of profit and loss as incurred. The acquiree's identifiable assets, liabilities and contingent liabilities that meet the condition for recognition are recognised at their fair values at the acquisition date.

Purchase consideration paid in excess of the fair value of net assets acquired is recognised as goodwill. Where the fair value of identifiable assets and liabilities exceed the cost of acquisition, after reassessing the fair values of the net assets and contingent liabilities, the excess is recognised as capital reserve.

The interest of non-controlling shareholders is initially measured either at fair value or at the non-controlling interests' proportionate share of the acquiree's identifiable net assets. The choice of measurement basis is made on an acquisition-by-acquisition basis. Subsequent to acquisition, the carrying amount of non-controlling interests is the amount of those interests at initial recognition plus the non-controlling interests' share of subsequent changes in equity of subsidiaries.

Business combinations arising from transfers of interests in entities that are under common control are accounted at historical cost. The difference between any consideration given and the aggregate historical carrying amounts of assets and liabilities of the acquired entity is recorded in shareholders' equity.

Acquisition that does not meet the definition of 'business' in accordance with Ind AS 103 - Business Combinations is treated as acquisition of assets.

(a) Acquisition of ListEngage Midco, LLC

On October 10, 2025, the Company acquired 100% ownership interest of ListEngage Midco, LLC along with its subsidiary ListEngage, LLC (ListEngage), limited liability companies in Delaware and leading Salesforce summit partner, for a consideration of $69 million (₹610 crore). ListEngage is a full stack Salesforce partner that specialises in Marketing Cloud, CRM, Data Cloud, Agentforce, and AI advisory services for enterprises. This strategic acquisition strengthens TCS' Salesforce capabilities, adding specialisations across the full range of Salesforce marketing tools. The consideration includes $4 million (₹40 crore), the payment of which is contingent upon achievement of certain key performance indicators as set out in the agreement to be achieved over a period of two years and the fair value of which is $4 million (₹38 crore) on initial recognition. The excess of purchase consideration over net assets has been recognised as goodwill amounting to $66 million (₹587 crore). The resultant goodwill is non-tax deductible.

Purchase consideration paid for this acquisition has been allocated as follows:

	(₹ crore)
Net assets acquired, at fair value	
Cash and cash equivalents	16
Net assets other than cash and cash equivalents	7
Fair value of net assets as on date of acquisition	**23**
Goodwill	587
Purchase consideration	**610**

The Group is in the process of making a final determination of purchase price allocation, including fair value of assets and liabilities which may result into adjustments in the value of certain assets and liabilities.

In addition to the purchase consideration, $11 million (₹100 crore) is payable to certain employees over a period of two years. Payment of this amount is contingent upon these employees continuing to be the employees of the Group and achievement of certain key performance indicators. This consideration is being accounted for as post acquisition employee benefits expense.

Revenues and net profit of the acquiree included in the consolidated financial statements and proforma revenue and net profit information as at the beginning of April 1, 2025 have not been presented because the amounts are immaterial.

8) Financial assets, financial liabilities and equity instruments

Financial assets and liabilities are recognised when the Group becomes a party to the contractual provisions of the instrument. Financial assets and liabilities are initially measured at fair value, except for trade receivables which are initially measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value measured on initial recognition of financial asset or financial liability.

The Group derecognises a financial asset only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity. The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled or have expired.

Cash and cash equivalents

The Group considers all highly liquid investments, which are readily convertible into known amounts of cash that are subject to an insignificant risk of change in value to be cash equivalents. Cash and cash equivalents consist of balances with banks and which are unrestricted for withdrawal and usage.

Financial assets at amortised cost

Financial assets are subsequently measured at amortised cost if these financial assets are held within a business whose objective is to hold these assets in order to collect contractual cash flows and the contractual terms of the financial assets give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at fair value through other comprehensive income

Financial assets are measured at fair value through other comprehensive income if these financial assets are held within a business whose objective is achieved by both collecting contractual cash flows on specified dates that are solely payments of principal and interest on the principal amount outstanding and selling financial assets.

The Group has made an irrevocable election to present subsequent changes in the fair value of equity investments not held for trading in other comprehensive income.

Financial assets at fair value through profit or loss

Financial assets are measured at fair value through profit or loss unless they are measured at amortised cost or at fair value through other comprehensive income on initial recognition. The transaction costs directly attributable to the acquisition of financial assets and liabilities at fair value through profit or loss are immediately recognised in statement of profit and loss.

Financial liabilities

Financial liabilities are measured at amortised cost using the effective interest method except for deferred consideration recognised in a business combination which is subsequently measured at fair value through profit and loss.

Equity instruments

An equity instrument is a contract that evidences residual interest in the assets of the company after deducting all of its liabilities. Equity instruments issued by the Group are recognised at the proceeds received net of direct issue cost.

Derivative accounting

- **Instruments in hedging relationship**

The Group designates certain foreign exchange forward, currency options and futures contracts as hedge instruments in respect of foreign exchange risks. These hedges are accounted for as cash flow hedges.

The Group uses hedging instruments that are governed by the financial risk management policy as approved by the Risk Management Committee. The policy provides principles on the use of such financial derivatives consistent with the risk management strategy of the company and its subsidiaries. While determining the appropriate hedge ratio, the Group takes into consideration the prevailing macro-economic conditions, the availability and liquidity of the hedging instruments, tolerance levels for hedge ineffectiveness and the costs of hedging. The hedging activities are reviewed by the Risk Management Committee every quarter and future course of action is determined.

The hedge instruments are designated and documented as hedges at the inception of the contract. The Group determines the existence of an economic relationship between the hedging instrument and hedged item based on the currency, amount and timing of their respective cash flows. The effectiveness of hedge instruments to reduce the risk associated with the exposure being hedged is assessed and measured at inception and on an ongoing basis. If the hedged future cash flows are no longer expected to occur, then the amounts that have been accumulated in other equity are immediately reclassified in net foreign exchange gains in the statement of profit and loss.

The effective portion of change in the fair value of the designated hedging instrument is recognised in the other comprehensive income and accumulated under the heading cash flow hedging reserve.

The Group separates the intrinsic value and time value of an option and designates as hedging instruments only the change in intrinsic value of the option. The change in fair value of the intrinsic value and time value of an option is recognised in the other comprehensive income and accounted as a separate component of equity. Such amounts are reclassified into the statement of profit and loss when the related hedged items affect profit and loss.

Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated or no longer qualifies for hedge accounting. Any gain or loss recognised in other comprehensive income and accumulated in equity till that time remains and is recognised in statement of profit and loss when the forecasted transaction ultimately affects profit and loss. Any gain or loss is recognised immediately in the statement of profit and loss when the hedge becomes ineffective.

- **Instruments not in hedging relationship**

The Group enters into contracts that are effective as hedges from an economic perspective, but they do not qualify for hedge accounting. The change in the fair value of such instrument is recognised in the statement of profit and loss.

Impairment of financial assets (other than at fair value)

The Group assesses at each date of balance sheet whether a financial asset or a group of financial assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. The Group recognises lifetime expected losses for all contract assets and / or all trade receivables that do not constitute a financing transaction. In determining the allowance for expected credit losses, the Group has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience and is adjusted for forward looking information. The expected credit loss allowance is based on the ageing of the receivables that are due and allowance rates used in the provision matrix. For all other financial assets, expected credit losses are measured at an amount equal to the 12-months expected credit losses or at an amount equal to the life time expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition.

(a) Investments

Investments consist of the following:

Investments – Non-current

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Investments designated at fair value through OCI		
Fully paid equity shares		
Mozido LLC (unquoted)	90	85
FCM LLC (unquoted)	-	64
Taj Air Limited (unquoted)	19	19
Philippine Dealing System Holdings Corporation (unquoted)	-	8
LATAM Airlines Group S.A. (quoted)	2	1
Less: Impairment in value of investments	(109)	(169)
Investments carried at amortised cost		
Government bonds and securities (quoted)	161	186
Corporate bonds (quoted)	86	81
	249	**275**

Investments – Non-current includes ₹247 crore and ₹267 crore as at December 31, 2025 and March 31, 2025, respectively, pertaining to trusts held for specified purposes.

Investments – Current

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Investments carried at fair value through profit or loss		
Mutual fund units (quoted)	15,369	2,903
Investments carried at fair value through OCI		
Government bonds and securities (quoted)	23,427	23,845
Corporate bonds and debentures (quoted)	4,958	3,929
Investments carried at amortised cost		
Corporate bonds (quoted)	37	12
Certificate of deposits (quoted)	782	-
Commercial papers (quoted)	973	-
	45,546	**30,689**

Investments – Current includes ₹179 crore and ₹79 crore as at December 31, 2025 and March 31, 2025, respectively, pertaining to trusts and TCS Foundation held for specified purposes.

Government bonds and securities include bonds pledged with bank for credit facility amounting to ₹2,700 crore and ₹2,700 as at December 31, 2025 and March 31, 2025, respectively.

Aggregate value of quoted and unquoted investments is as follows:

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Aggregate value of quoted investments	45,795	30,957
Aggregate value of unquoted investments (net of impairment)	-	7
Aggregate market value of quoted investments	45,795	30,957
Aggregate value of impairment of investments	109	169

Market value of quoted investments carried at amortised cost is as follows:

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Government bonds and securities	161	186
Corporate bonds	123	93
Certificate of deposits	782	-
Commercial papers	973	-

Equity instruments designated at fair value through OCI are as follows:

(₹ crore)

In numbers	Currency	Face value per share	Equity instruments designated at fair value through OCI	As at December 31, 2025	As at March 31, 2025
			Fully paid equity shares		
1,00,00,000	USD	1	Mozido LLC (unquoted)	90	85
15	USD	5,00,000	FCM LLC (unquoted)*	-	64
1,90,00,000	INR	10	Taj Air Limited (unquoted)	19	19
5,00,000	PHP	100	Philippine Dealing System Holdings Corporation (unquoted)*	-	8
66,05,679	CLP	1	LATAM Airlines Group S.A. (quoted)	2	1
			Less: Impairment in value of investments	(109)	(169)
				2	**8**

* Sold during nine months ended December 31, 2025.

The movement in fair value of investments carried / designated at fair value through OCI is as follows:

(₹ crore)

	Nine months ended December 31, 2025	Year ended March 31, 2025
Balance at the beginning of the period	**655**	**235**
Net gain / (loss) arising on revaluation of investments in equities designated at fair value through other comprehensive income	105	(24)
Net cumulative gain reclassified to retained earnings on sale of financial assets carried at fair value	(37)	-
Net (loss) / gain arising on revaluation of investments other than equities carried at fair value through other comprehensive income	(161)	603
Deferred tax relating to net (loss) / gain arising on revaluation of investments other than equities carried at fair value through other comprehensive income	41	(152)
Net cumulative gain reclassified to statement of profit and loss on sale of investments other than equities carried at fair value through other comprehensive income	(150)	(10)
Deferred tax relating to net cumulative gain reclassified to statement of profit and loss on sale of investments other than equities carried at fair value through other comprehensive income	37	3
Balance at the end of the period	**490**	**655**

(b) Trade receivables – Billed

Trade receivables - Billed (unsecured) consist of the following:

Trade receivables - Billed – Non-current

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Trade receivables - Billed	817	790
Less: Allowance for expected credit losses	(722)	(699)
Considered good	**95**	**91**

Trade receivables - Billed – Current

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Trade receivables - Billed	56,230	50,383
Less: Allowance for expected credit losses	(344)	(344)
Considered good	**55,886**	**50,039**
Trade receivables - Billed	504	364
Less: Allowance for expected credit losses	(338)	(261)
Credit impaired	**166**	**103**
	56,052	**50,142**

Above balances of trade receivables – billed include balances with related parties (Refer note 21).

(c) Cash and cash equivalents

Cash and cash equivalents consist of the following:

	As at December 31, 2025	As at March 31, 2025
		(₹ crore)
Balances with banks		
In current accounts	2,632	3,421
In deposit accounts	4,818	4,907
Cheques on hand	-*	-*
Cash on hand	-*	-*
Remittances in transit	60	14
	7,510	**8,342**

*Represents value less than ₹0.50 crore.

Balances with banks in current accounts include ₹12 crore and ₹11 crore as at December 31, 2025 and March 31, 2025, respectively, pertaining to trusts held for specified purposes.

(d) Other balances with banks

Other balances with banks consist of the following:

	As at December 31, 2025	As at March 31, 2025
		(₹ crore)
Earmarked balances with banks	299	906
Short-term bank deposits	8,166	6,215
	8,465	**7,121**

Earmarked balances with banks primarily relate to margin money for purchase of investments, unclaimed dividends and liquidity backstop as a part of regulatory requirements.

Short-term bank deposits include ₹1,600 crore and ₹1,595 crore as at December 31, 2025 and March 31, 2025, respectively, pertaining to TCS Foundation held for specified purposes.

(e) Loans

Loans (unsecured) consist of the following:

Loans – Non-current

	As at December 31, 2025	As at March 31, 2025
		(₹ crore)
Considered good		
Inter-corporate deposits	750	-
Loans to employees	2	2
Other loans	23	23
	775	**25**

Inter-corporate deposits yield fixed interest rate and are placed with financial institutions (related parties), who are authorised to accept and use such inter-corporate deposits as per regulations applicable to them.

Loans – Current

	As at December 31, 2025	As at March 31, 2025
		(₹ crore)
Considered good		
Loans to employees	5	6
Other loans	4	3
	9	**9**

(f) Other financial assets

Other financial assets consist of the following:

Other financial assets – Non-current

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Security deposits	995	770
Earmarked balances with banks	287	250
Long-term bank deposits	1,878	1,709
Interest receivable	84	2
Advance towards acquisition of investment	250	-
Fair value of call option	43	-
	3,537	**2,731**

Other financial assets – Current

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Security deposits	240	343
Fair value of foreign exchange derivative assets	219	438
Interest receivable	898	888
Advances to employees	361	333
Less: Allowance for advances to employees	(60)	(53)
Others	414	793
	2,072	**2,742**

Long-term bank deposits include ₹1,109 crore and ₹1,130 crore as at December 31, 2025 and March 31, 2025, respectively, pertaining to TCS Foundation held for specified purposes.

Interest receivable includes ₹161 crore and ₹185 crore as at December 31, 2025 and March 31, 2025, respectively, pertaining to trusts and TCS Foundation held for specified purposes.

(g) Other financial liabilities

Other financial liabilities consist of the following:

Other financial liabilities – Non-current

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Capital creditors	-	60
Liabilities towards customer contracts	226	316
Deferred consideration on acquisition of subsidiaries (Refer note 7(a))	18	-
Others	318	304
	562	**680**

Others include advance taxes paid of ₹226 crore and ₹226 crore as at December 31, 2025 and March 31, 2025, respectively, by the seller of TCS e-Serve Limited (merged with the Company) which, on refund by tax authorities, is payable to the seller.

Other financial liabilities – Current

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Accrued payroll	6,830	5,456
Unclaimed dividends	59	60
Fair value of foreign exchange derivative liabilities	169	157
Capital creditors	611	721
Liabilities towards customer contracts	1,370	1,314
Liabilities towards acquisition of assets (Refer note 20)	3	557
Liabilities towards acquisition of subsidiary (Refer note 7(a))	14	-
Deferred consideration on acquisition of subsidiaries (Refer note 7(a))	20	-
Others	569	277
	9,645	**8,542**

(h) Financial instruments by category

The carrying value of financial instruments by categories as at December 31, 2025 is as follows:

(₹ crore)

	Fair value through profit or loss	Fair value through other comprehensive income	Derivative instruments in hedging relationship	Derivative instruments not in hedging relationship	Amortised cost	Total carrying value
Financial assets						
Cash and cash equivalents	-	-	-	-	7,510	7,510
Bank deposits	-	-	-	-	10,044	10,044
Earmarked balances with banks	-	-	-	-	586	586
Investments	15,369	28,387	-	-	2,039	45,795
Trade receivables						
Billed	-	-	-	-	56,147	56,147
Unbilled	-	-	-	-	9,206	9,206
Loans	-	-	-	-	784	784
Other financial assets	43	-	22	197	3,182	3,444
	15,412	**28,387**	**22**	**197**	**89,498**	**1,33,516**
Financial liabilities						
Trade payables	-	-	-	-	14,630	14,630
Lease liabilities	-	-	-	-	10,821	10,821
Other financial liabilities	38	-	-	169	10,000	10,207
	38	**-**	**-**	**169**	**35,451**	**35,658**

Loans include inter-corporate deposits of ₹750 crore with original maturity of maximum 24 months.

The carrying value of financial instruments by categories as at March 31, 2025 is as follows:

(₹ crore)

	Fair value through profit or loss	Fair value through other comprehensive income	Derivative instruments in hedging relationship	Derivative instruments not in hedging relationship	Amortised cost	Total carrying value
Financial assets						
Cash and cash equivalents	-	-	-	-	8,342	8,342
Bank deposits	-	-	-	-	7,924	7,924
Earmarked balances with banks	-	-	-	-	1,156	1,156
Investments	2,903	27,782	-	-	279	30,964
Trade receivables						
Billed	-	-	-	-	50,233	50,233
Unbilled	-	-	-	-	8,942	8,942
Loans	-	-	-	-	34	34
Other financial assets	-	-	33	405	3,076	3,514
	2,903	**27,782**	**33**	**405**	**79,986**	**1,11,109**
Financial liabilities						
Trade payables	-	-	-	-	13,909	13,909
Lease liabilities	-	-	-	-	9,392	9,392
Other financial liabilities	-	-	-	157	9,065	9,222
	-	**-**	**-**	**157**	**32,366**	**32,523**

Carrying amounts of cash and cash equivalents, trade receivables, loans and trade payables as at December 31, 2025 and March 31, 2025, approximate the fair value due to their nature. Carrying amounts of bank deposits, earmarked balances with banks, other financial assets and other financial liabilities which are subsequently measured at amortised cost also approximate the fair value due to their nature in each of the periods presented. Fair value measurement of lease liabilities is not required. Fair value of investments carried at amortised cost is ₹2,039 crore and ₹279 crore as at December 31, 2025 and March 31, 2025, respectively.

(i) Fair value hierarchy

The fair value hierarchy is based on inputs to valuation techniques that are used to measure fair value that are either observable or unobservable and consists of the following three levels:

- Level 1 — Inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 — Inputs are other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 — Inputs are not based on observable market data (unobservable inputs). Fair values are determined in whole or in part using a valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data.

The cost of unquoted investments included in Level 3 of fair value hierarchy approximate their fair value because there is a wide range of possible fair value measurements and the cost represents estimate of fair value within that range.

The following table summarises financial assets and liabilities measured at fair value on a recurring basis and financial assets that are not measured at fair value on a recurring basis (but fair value disclosures are required):

(₹ crore)

As at December 31, 2025	Level 1	Level 2	Level 3	Total
Financial assets				
Mutual fund units	15,369	-	-	15,369
Equity shares	2	-	-	2.00
Government bonds and securities	23,588	-	-	23,588
Corporate bonds and debentures	5,081	-	-	5,081
Certificate of deposits	782	-	-	782
Commercial papers	973	-	-	973
Fair value of foreign exchange derivative assets	-	219	-	219
Fair value of call option	-	-	43	43
	45,795	**219**	**43**	**46,057**
Financial liabilities				
Fair value of foreign exchange derivative liabilities	-	169	-	169
Other financial liabilities	-	-	38	38
	-	**169**	**38**	**207**

(₹ crore)

As at March 31, 2025	Level 1	Level 2	Level 3	Total
Financial assets				
Mutual fund units	2,903	-	-	2,903
Equity shares	1	-	7	8
Government bonds and securities	24,031	-	-	24,031
Corporate bonds and debentures	4,022	-	-	4,022
Fair value of foreign exchange derivative assets	-	438	-	438
	30,957	**438**	**7**	**31,402**
Financial liabilities				
Fair value of foreign exchange derivative liabilities	-	157	-	157
	-	**157**	**-**	**157**

Reconciliation of Level 3 fair value measurement of financial assets is as follows:

(₹ crore)

	Nine months ended December 31, 2025	Year ended March 31, 2025
Balance at the beginning of the period	**7**	**31**
Additions during the period	43	-
Change in fair value of investments	38	-
Impairment in value of investments	-	(24)
Disposal during the period	(46)	-
Translation exchange difference	1	-
Balance at the end of the period	**43**	**7**

If the volatility increases / decreases by 1%, the fair value of call option would increase / (decrease) as follows:

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Increase of 1%	6	-
Decrease of 1%	(6)	-

If the risk free interest rate increases / decreases by 0.50%, the fair value of call option would increase / (decrease) as follows:

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Increase of 0.50%	2	-
Decrease of 0.50%	(2)	-

Following table describes the valuation techniques used and key inputs thereto for the level 3 financial assets:

Financial assets	Valuation technique	Significant unobservable input	Significant unobservable input range		Inter-relationship between significant unobservable input and fair value measurement
			As at December 31, 2025	As at March 31, 2025	
Call option	Black-Scholes Option Pricing Model	Volatility of the property price	20.00%	-	The estimated fair value of call option will Increase / (decrease) if the volatility of the property price is higher / (lower)
		Risk free interest rate	5.81%	-	The estimated fair value of call option will Increase / (decrease) if the risk free interest rate is higher / (lower)

Reconciliation of Level 3 fair value measurement of financial liabilities is as follows:

		(₹ crore)
	Nine months ended December 31, 2025	**Year ended March 31, 2025**
Balance at the beginning of the period	-	-
Additions during the period	38	-
Balance at the end of the period	**38**	**-**

The fair valuation is determined based on present value of deferred consideration and risk free discount rates using net present value method. There were no significant inter-relationship between unobservable inputs that materially affects fair value. If the risk free discount rate increases or decreases by 1%, the impact on the net present value will not be material.

(j) Derivative financial instruments and hedging activity

The Group's revenue is denominated in various foreign currencies. Given the nature of the business, a large portion of the costs are denominated in Indian Rupee. This exposes the Group to currency fluctuations.

The Board of Directors has constituted a Risk Management Committee (RMC) to frame, implement and monitor the risk management plan of the Group which inter-alia covers risks arising out of exposure to foreign currency fluctuations. Under the guidance and framework provided by the RMC, the Group uses various derivative instruments such as foreign exchange forward, currency options and futures contracts in which the counter party is generally a bank.

The following are outstanding currency options contracts, which have been designated as cash flow hedges:

	As at December 31, 2025			As at March 31, 2025		
Foreign currency	**No. of contracts**	**Notional amount of contracts (In million)**	**Fair value (₹ crore)**	**No. of contracts**	**Notional amount of contracts (In million)**	**Fair value (₹ crore)**
US Dollar	6	200	2	-	-	-
Great Britain Pound	24	230	11	23	220	18
Euro	25	240	9	25	235	15

The movement in cash flow hedging reserve for derivatives designated as cash flow hedges is as follows:

(₹ crore)

	Nine months ended December 31, 2025		Year ended March 31, 2025	
	Intrinsic value	**Time value**	**Intrinsic value**	**Time value**
Balance at the beginning of the period	**9**	**(24)**	**9**	**(18)**
(Gain) / loss transferred to profit and loss on occurrence of forecasted hedge transactions	(15)	240	(193)	234
Deferred tax on (gain) / loss transferred to profit and loss on occurrence of forecasted hedge transactions	4	(60)	48	(60)
Change in the fair value of effective portion of cash flow hedges	4	(247)	194	(243)
Deferred tax on change in the fair value of effective portion of cash flow hedges	(1)	62	(49)	63
Balance at the end of the period	**1**	**(29)**	**9**	**(24)**

The Group has entered into derivative instruments not in hedging relationship by way of foreign exchange forward, currency options and futures contracts. As at December 31, 2025 and March 31, 2025, the notional amount of outstanding contracts aggregated to ₹63,042 crore and ₹65,004 crore, respectively, and the respective fair value of these contracts have a net gain of ₹28 crore and ₹248 crore.

Exchange loss of ₹223 crore and gain of ₹135 crore on foreign exchange forward, currency options and futures contracts that do not qualify for hedge accounting have been recognised in the consolidated interim statement of profit and loss for three months ended December 31, 2025 and 2024, respectively.

Exchange loss of ₹1,492 crore and ₹512 crore on foreign exchange forward, currency options and futures contracts that do not qualify for hedge accounting have been recognised in the consolidated interim statement of profit and loss for nine months ended December 31, 2025 and 2024, respectively.

Net foreign exchange gain / (loss) includes loss of ₹69 crore and gain of ₹67 crore transferred from cash flow hedging reserve to the consolidated interim statement of profit and loss on occurrence of forecasted hedge transactions for three months ended December 31, 2025 and 2024, respectively.

Net foreign exchange gain / (loss) includes loss of ₹225 crore and ₹14 crore transferred from cash flow hedging reserve to the consolidated interim statement of profit and loss on occurrence of forecasted hedge transactions for nine months ended December 31, 2025 and 2024, respectively.

Net loss on derivative instruments of ₹28 crore recognised in cash flow hedging reserve as at December 31, 2025, is expected to be transferred to the statement of profit and loss by December 31, 2026. The maximum period over which the exposure to cash flow variability has been hedged is through calendar year 2026.

Following table summarises approximate gain / (loss) on Group's other comprehensive income on account of appreciation / depreciation of the underlying foreign currencies:

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
10% appreciation of the underlying foreign currencies	-	-
10% depreciation of the underlying foreign currencies	625	437

(k) Financial risk management

The Group is exposed primarily to fluctuations in foreign currency exchange rates, credit, liquidity and interest rate risks, which may adversely impact the fair value of its financial instruments. The Group has a risk management policy which covers risks associated with the financial assets and liabilities. The risk management policy is approved by the Board of Directors. The focus of the risk management committee is to assess the unpredictability of the financial environment and to mitigate potential adverse effects on the financial performance of the Group.

Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Such changes in the values of financial instruments may result from changes in the foreign currency exchange rates, interest rates, credit, liquidity and other market changes. The Group's exposure to market risk is primarily on account of foreign currency exchange rate risk.

- **Foreign currency exchange rate risk**

The fluctuation in foreign currency exchange rates may have potential impact on the consolidated interim statement of profit and loss and other comprehensive income and equity, where any transaction references more than one currency or where assets / liabilities are denominated in a currency other than the functional currency of the respective entities. Considering the countries and economic environment in which the Group operates, its operations are subject to risks arising from fluctuations in exchange rates in those countries.

The Group, as per its risk management policy, uses derivative instruments primarily to hedge foreign exchange. Further, any movement in the functional currencies of the various operations of the Group against major foreign currencies may impact the Group's revenue in international business.

The Group evaluates the impact of foreign exchange rate fluctuations by assessing its exposure to exchange rate risks. It hedges a part of these risks by using derivative financial instruments in line with its risk management policies.

The foreign exchange rate sensitivity is calculated by aggregation of the net foreign exchange rate exposure and a simultaneous parallel foreign exchange rates shift of all the currencies by 10% against the respective functional currencies of Tata Consultancy Services Limited and its subsidiaries.

The following analysis has been worked out based on the net exposures for each of the subsidiaries and Tata Consultancy Services Limited as of the date of balance sheet which could affect the statement of profit and loss and other comprehensive income and equity. Further the exposure as indicated below is mitigated by some of the derivative contracts entered into by the Group as disclosed in note 8(j).

The following table sets forth information relating to unhedged foreign currency exposure as at December 31, 2025:

				(₹ crore)
	USD	**EUR**	**GBP**	**Others**
Net financial assets	2,209	922	223	2,605
Net financial liabilities	(6,458)	(448)	(1,292)	(551)

10% appreciation / depreciation of the respective functional currency of Tata Consultancy Services Limited and its subsidiaries with respect to various foreign currencies would result in increase / decrease in the Group's profit before taxes by approximately ₹279 crore for nine months ended December 31, 2025.

The following table sets forth information relating to unhedged foreign currency exposure as at March 31, 2025:

				(₹ crore)
	USD	**EUR**	**GBP**	**Others**
Net financial assets	2,572	429	115	1,963
Net financial liabilities	(3,557)	(8)	(337)	(347)

10% appreciation / depreciation of the respective functional currency of Tata Consultancy Services Limited and its subsidiaries with respect to various foreign currencies would result in increase / decrease in the Group's profit before taxes by approximately ₹83 crore for the year ended March 31, 2025.

- **Interest rate risk**

The Group's investments are primarily in fixed rate interest bearing investments. Hence, the Group is not significantly exposed to interest rate risk.

Credit risk

Credit risk is the risk of financial loss arising from counterparty failure to repay or service debt according to the contractual terms or obligations. Credit risk encompasses of both, the direct risk of default and the risk of deterioration of creditworthiness as well as concentration of risks. Credit risk is controlled by analysing credit limits and creditworthiness of customers on a continuous basis to whom the credit has been granted after obtaining necessary approvals for credit. Refer note 5 for methods, assumptions and information used to measure expected credit losses.

Financial instruments that are subject to credit risk consist of trade receivables, loans, investments, derivative financial instruments, cash and cash equivalents, bank deposits and other financial assets. Loans include inter-corporate deposits of ₹750 crore placed with financial institutions having a high credit-rating assigned by credit-rating agencies as at December 31, 2025 and NIL as at March 31, 2025, respectively. Bank deposits include an amount of ₹10,021 crore held with three banks and ₹7,884 crore held with three banks, having high credit rating which are individually in excess of 10% or more of the Group total bank deposits as at December 31, 2025 and March 31, 2025, respectively. None of the other financial instruments of the Group result in material concentration of credit risk.

- **Exposure to credit risk**

The carrying amount of financial assets and contract assets represents the maximum credit exposure. The maximum exposure to credit risk was ₹1,40,637 crore and ₹1,17,629 crore as at December 31, 2025 and March 31, 2025, respectively, being the total of the carrying amount of balances with banks, bank deposits, investments, trade receivables, loans, contract assets and other financial assets.

The Group's exposure to customers is diversified and no single customer contributes to more than 10% of outstanding trade receivables and contract assets as at December 31, 2025 and March 31, 2025.

Geographic concentration of credit risk

Geographic concentration of trade receivables (gross and net of allowances) and contract assets is as follows:

	As at December 31, 2025		**As at March 31, 2025**	
	Gross%	**Net%**	**Gross%**	**Net%**
United States of America	37.75	38.25	35.40	35.87
India	20.15	18.99	22.51	21.38
United Kingdom	15.74	16.00	14.72	14.97
Europe	14.73	15.00	13.27	13.52

Geographical concentration of trade receivables (gross and net of allowances) and contract assets is allocated based on the location of the customers.

The allowance for lifetime expected credit losses on trade receivables for nine months ended December 31, 2025 and year ended March 31, 2025 was ₹86 crore and ₹112 crore respectively. The reconciliation of allowance for expected credit losses is as follows:

		(₹ crore)
	Nine months ended December 31, 2025	**Year ended March 31, 2025**
Balance at the beginning of the period	**1,304**	**1,190**
Change during the period	86	112
Bad debts written off	(1)	(2)
Translation exchange difference	15	4
Balance at the end of the period	**1,404**	**1,304**

Liquidity risk

Liquidity risk refers to the risk that the Group cannot meet its financial obligations. The objective of liquidity risk management is to maintain sufficient liquidity and ensure that funds are available for use as per requirements. The Group consistently generated sufficient cash flows from operations to meet its financial obligations including lease liabilities as and when they fall due.

The tables below provide details regarding the contractual maturities of significant financial liabilities as at:

					(₹ crore)
December 31, 2025	**Due in 1st year**	**Due in 2nd year**	**Due in 3rd to 5th year**	**Due after 5th year**	**Total**
Non-derivative financial liabilities					
Trade payables	14,630	-	-	-	14,630
Lease liabilities	2,289	2,059	4,506	4,819	13,673
Other financial liabilities	9,476	168	358	36	10,038
	26,395	2,227	4,864	4,855	38,341
Derivative financial liabilities	169	-	-	-	169
	26,564	**2,227**	**4,864**	**4,855**	**38,510**

					(₹ crore)
March 31, 2025	**Due in 1st year**	**Due in 2nd year**	**Due in 3rd to 5th year**	**Due after 5th year**	**Total**
Non-derivative financial liabilities					
Trade payables	13,909	-	-	-	13,909
Lease liabilities	2,077	1,830	3,782	4,359	12,048
Other financial liabilities	8,385	231	447	1	9,064
	24,371	**2,061**	**4,229**	**4,360**	**35,021**
Derivative financial liabilities	157	-	-	-	157
	24,528	**2,061**	**4,229**	**4,360**	**35,178**

(I) Equity instruments

The authorised, issued, subscribed and fully paid up share capital consist of the following:

	As at December 31, 2025	As at March 31, 2025
		(₹ crore)
Authorised		
460,05,00,000 equity shares of ₹1 each (March 31, 2025: 460,05,00,000 equity shares of ₹1 each)	460	460
105,02,50,000 preference shares of ₹1 each (March 31, 2025: 105,02,50,000 preference shares of ₹1 each)	105	105
	565	**565**
Issued, Subscribed and Fully paid up		
361,80,87,518 equity shares of ₹1 each (March 31, 2025: 361,80,87,518 equity shares of ₹1 each)	362	362
	362	**362**

The Company's objective for capital management is to maximise shareholder value, safeguard business continuity and support the growth of the Company. The Company determines the capital requirement based on annual operating plans and long-term and other strategic investment plans. The funding requirements are met through equity and operating cash flows generated. The Company is not subject to any externally imposed capital requirements.

I. Reconciliation of number of shares

	Nine months ended December 31, 2025		Year ended March 31, 2025	
	Number of shares	Amount (₹ crore)	Number of shares	Amount (₹ crore)
Equity shares				
Opening balance	**361,80,87,518**	**362**	**361,80,87,518**	**362**
Change during the period	-	-	-	-
Closing balance	**361,80,87,518**	**362**	**361,80,87,518**	**362**

II. Rights, preferences and restrictions attached to shares

The Company has one class of equity shares having a par value of ₹1 each. Each shareholder is eligible for one vote per share held and carry a right to dividend. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting, except in case of interim dividend. In the event of liquidation, the equity shareholders are eligible to receive the remaining assets of the Company after distribution of all preferential amounts, in proportion to their shareholding.

III. Shares held by Holding company, its Subsidiaries and Associates

	As at December 31, 2025	As at March 31, 2025
		(₹ crore)
Equity shares		
Holding company		
259,54,99,419 equity shares (March 31, 2025: 259,54,99,419 equity shares) are held by Tata Sons Private Limited	260	260
Subsidiaries and Associates of Holding company		
7,220 equity shares (March 31, 2025: 7,220 equity shares) are held by Tata Industries Limited*	-	-
10,04,425 equity shares (March 31, 2025: 10,04,425 equity shares) are held by Tata Investment Corporation Limited*	-	-
46,798 equity shares (March 31, 2025: 46,798 equity shares) are held by Tata Steel Limited*	-	-
766 equity shares (March 31, 2025: 766 equity shares) are held by The Tata Power Company Limited*	-	-
	260	**260**

*Equity shares having value less than ₹0.50 crore

9) Leases

A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a lessee

The Group accounts for each lease component within the contract as a lease separately from non-lease components of the contract and allocates the consideration in the contract to each lease component on the basis of the relative standalone price of the lease component and the aggregate standalone price of the non-lease components.

The Group recognises right-of-use asset representing its right to use the underlying asset for the lease term at the lease commencement date. The cost of the right-of-use asset measured at inception shall comprise of the amount of the initial measurement of the lease liability adjusted for any lease payments made at or before the commencement date less any lease incentives received, plus any initial direct costs incurred and an estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset or restoring the underlying asset or site on which it is located. The right-of-use asset is subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any and adjusted for any remeasurement of the lease liability. The right-of-use asset is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset. The estimated useful lives of right-of-use assets are determined on the same basis as those of property, plant and equipment. Right-of-use assets are tested for impairment whenever there is any indication that their carrying amounts may not be recoverable. Impairment loss, if any, is recognised in the statement of profit and loss.

The Group measures the lease liability at the present value of the lease payments that are not paid at the commencement date of the lease. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Group uses incremental borrowing rate. For leases with reasonably similar characteristics, the Group, on a lease-by-lease basis, may adopt either the incremental borrowing rate specific to the lease or the incremental borrowing rate for the portfolio as a whole. The lease payments shall include fixed payments, variable lease payments, residual value guarantees, exercise price of a purchase option where the Group is reasonably certain to exercise that option and payments of penalties for terminating the lease, if the lease term reflects the lessee exercising an option to terminate the lease. The lease liability is subsequently remeasured by increasing the carrying amount to reflect interest on the lease liability, reducing the carrying amount to reflect the lease payments made and remeasuring the carrying amount to reflect any reassessment or lease modifications or to reflect revised in-substance fixed lease payments. The Group recognises the amount of the re-measurement of lease liability due to modification as an adjustment to the right-of-use asset and statement of profit and loss depending upon the nature of modification. Where the carrying amount of the right-of-use asset is reduced to zero and there is a further reduction in the measurement of the lease liability, the Group recognises any remaining amount of the re-measurement in statement of profit and loss.

The Group has elected not to apply the requirements of Ind AS 116 - Leases to short-term leases of all assets that have a lease term of 12 months or less and leases for which the underlying asset is of low value. The lease payments associated with these leases are recognised as an expense on a straight-line basis over the lease term.

Group as a lessor

At the inception of the lease the Group classifies each of its leases as either an operating lease or a finance lease. The Group recognises lease payments received under operating leases as income on a straight-line basis over the lease term. In case of a finance lease, finance income is recognised over the lease term based on a pattern reflecting a constant periodic rate of return on the lessor's net investment in the lease. When the Group is an intermediate lessor it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Group applies the exemption described above, then it classifies the sub-lease as an operating lease.

If an arrangement contains lease and non-lease components, the Group applies Ind AS 115 - Revenue from contracts with customers to allocate the consideration in the contract.

The details of the right-of-use assets held by the Group are as follows:

(₹ crore)

	Additions for nine months ended December 31, 2025	Net carrying amount as at December 31, 2025
Leasehold land	-	909
Buildings	2,644	9,330
Leasehold improvements	21	65
Computer equipment	113	193
Software licences	-	9
Vehicles	10	36
Office equipment	1	5
Furniture and fixtures	-	1
	2,789	**10,548**

(₹ crore)

	Additions for the year ended March 31, 2025	Net carrying amount as at March 31, 2025
Leasehold land	-	918
Buildings	3,238	8,087
Leasehold improvements	41	52
Computer equipment	-	144
Software licences	-	31
Vehicles	19	35
Office equipment	6	6
Furniture and fixtures	-	2
	3,304	**9,275**

Depreciation on right-of-use assets is as follows:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Leasehold land	3	3	9	9
Buildings	484#	428	1,448#	1,264
Leasehold improvements	5	3	11	8
Computer equipment	23	15	58	45
Software licences	7	7	21	21
Vehicles	5	5	15	15
Office equipment	-	1	1	3
Furniture and fixtures	-*	-*	-*	-*
	527	**462**	**1,563**	**1,365**

*Represents value less than ₹0.50 crore.

#Out of this, directly attributable costs of ₹40 crore and ₹113 towards leasehold improvements have been transferred to capital work-in-progress for three months and nine months ended December 31,2025 respectively.

Changes in lease liabilities are as follows:

(₹ crore)

	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Balance at the beginning of the period	**9,392**	**8,020**
Additions during the period	2,656	2,653
Repayment of lease liabilities during the period	(1,375)	(1,261)
Other non-cash movement	(7)	(27)
Translation Exchange difference	154	(34)
Balance at the end of the period	**10,821**	**9,351**

Interest on lease liabilities is ₹191 crore and ₹160 crore for three months ended December 31, 2025 and 2024, respectively.

Interest on lease liabilities is ₹577 crore and ₹467 crore for nine months ended December 31, 2025 and 2024, respectively.

The Group incurred ₹121 crore and ₹82 crore for three months ended December 31, 2025 and 2024, respectively, towards expenses relating to short-term leases and leases of low-value assets.

The Group incurred ₹323 crore and ₹251 crore for nine months ended December 31, 2025 and 2024, respectively, towards expenses relating to short-term leases and leases of low-value assets.

The total cash outflow for leases is ₹813 crore and ₹667 crore for three months ended December 31, 2025 and 2024, respectively, including cash outflow for short term leases and leases of low-value assets

The total cash outflow for leases is ₹2,349 crore and ₹2,068 crore for nine months ended December 31, 2025 and 2024, respectively, including cash outflow for short term leases and leases of low-value assets

The Group has lease term extension options that are not reflected in the measurement of lease liabilities. The present value of future cash outflows for such extension periods is ₹1,016 crore and ₹943 crore as at December 31, 2025 and March 31, 2025, respectively.

Lease contracts entered by the Group majorly pertain for buildings taken on lease to conduct its business in the ordinary course.

The Group does not have any lease restrictions and commitment towards variable rent as per the contract.

10) Non-financial assets and non-financial liabilities

(a) Property, plant and equipment

The Group recognises the cost of an item of property, plant and equipment as an asset if, and only if it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can measured reliably.

Property, plant and equipment are stated at cost comprising of purchase price and any initial directly attributable cost of bringing the asset to its working condition for its intended use, less accumulated depreciation (other than freehold land) and impairment loss, if any.

Depreciation is provided for property, plant and equipment on a straight-line basis so as to expense the cost less residual value over their estimated useful lives as prescribed in Schedule II of the Companies Act, 2013 except in respect of certain categories of assets, where the useful life of the assets has been assessed based on a technical evaluation. The estimated useful lives and residual values are reviewed at the end of each reporting period, with the effect of any change in estimate accounted for on a prospective basis.

The estimated useful lives are as mentioned below:

Type of asset	**Useful lives**
Buildings	20 years*
Leasehold improvements	Lease term
Plant and equipment	10 years*
Computer equipment	4 years*
Vehicles	4 years*
Office equipment	2-5 years*
Electrical installations	4-10 years*
Furniture and fixtures	5 years*

*The Group believes that the technically evaluated useful lives, different from Schedule II of the Companies Act, 2013, best represent the period over which these assets are expected to be used.

Depreciation is not recorded on capital work-in-progress until construction and installation are complete and the asset is ready for its intended use.

Property, plant and equipment with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

The carrying amount of an item of property, plant and equipment shall be derecognized on disposal or when no future economic benefits are expected from its use or disposal.

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of consolidated interim financial statements

Property, plant and equipment consist of the following:

(₹ crore)

	Freehold land	Buildings	Leasehold improvements	Plant and equipment	Computer equipment	Vehicles	Office equipment	Electrical installations	Furniture and fixtures	Total
Cost as at April 1, 2025	**1,955**	**8,752**	**2,790**	**993**	**14,948**	**53**	**3,160**	**2,329**	**2,297**	**37,277**
Additions#	-	56	111	37	1,244	7	197	59	76	1,787
Acquisition through a business combination	-	-	-	-	1	-	-	-	-*	1
Disposals	-	(7)	(65)	(2)	(529)	(3)	(68)	(19)	(21)	(714)
Translation exchange difference	2	6	82	3	352	-	35	21	39	540
Cost as at December 31, 2025	**1,957**	**8,807**	**2,918**	**1,031**	**16,016**	**57**	**3,324**	**2,390**	**2,391**	**38,891**
Accumulated depreciation as at April 1, 2025	**-**	**(4,572)**	**(2,139)**	**(628)**	**(12,380)**	**(39)**	**(2,743)**	**(1,857)**	**(1,941)**	**(26,299)**
Depreciation	-	(321)	(126)	(62)	(1,142)	(6)	(150)	(89)	(87)	(1,983)
Disposals	-	7	58	2	526	3	68	18	21	703
Translation exchange difference	-	(4)	(73)	(2)	(293)	-	(30)	(16)	(33)	(451)
Accumulated depreciation as at December 31, 2025	**-**	**(4,890)**	**(2,280)**	**(690)**	**(13,289)**	**(42)**	**(2,855)**	**(1,944)**	**(2,040)**	**(28,030)**
Net carrying amount as at December 31, 2025	**1,957**	**3,917**	**638**	**341**	**2,727**	**15**	**469**	**446**	**351**	**10,861**
Capital work-in-progress										2,588
Total										**13,449**

(₹ crore)

	Freehold land	Buildings	Leasehold improvements	Plant and equipment	Computer equipment	Vehicles	Office equipment	Electrical installations	Furniture and fixtures	Total
Cost as at April 1, 2024	**354**	**8,280**	**2,777**	**878**	**14,199**	**45**	**2,976**	**2,202**	**2,142**	**33,853**
Additions*	1,600	470	80	118	1,443	11	260	152	172	4,306
Disposals	-	(1)	(50)	(2)	(703)	(3)	(70)	(18)	(22)	(869)
Translation exchange difference	1	3	(17)	(1)	9	-	(6)	(7)	5	(13)
Cost as at March 31, 2025	**1,955**	**8,752**	**2,790**	**993**	**14,948**	**53**	**3,160**	**2,329**	**2,297**	**37,277**
Accumulated depreciation as at April 1, 2024	**-**	**(4,154)**	**(2,036)**	**(539)**	**(11,483)**	**(37)**	**(2,629)**	**(1,748)**	**(1,851)**	**(24,477)**
Depreciation	-	(417)	(171)	(91)	(1,585)	(5)	(188)	(131)	(107)	(2,695)
Disposals	-	1	50	2	700	3	70	18	22	866
Translation exchange difference	-	(2)	18	-	(12)	-	4	4	(5)	7
Accumulated depreciation as at March 31, 2025	**-**	**(4,572)**	**(2,139)**	**(628)**	**(12,380)**	**(39)**	**(2,743)**	**(1,857)**	**(1,941)**	**(26,299)**
Net carrying amount as at March 31, 2025	**1,955**	**4,180**	**651**	**365**	**2,568**	**14**	**417**	**472**	**356**	**10,978**
Capital work-in-progress*										1,546
Total										**12,524**

Including additions on account of acquisition of assets (Refer note 20).
* Represents value less than ₹0.50 crore.

- **Changes in Capital work-in-progress are as follows:**

		(₹ crore)
	Nine months ended December 31, 2025	**Year ended March 31, 2025**
Balance at the beginning of the period	1,546	1,564
Addition during the period*	2,836	2,688
Capitalised during the period	(1,787)	(2,706)
Translation exchange difference	(7)	-
Balance at the end of the period	**2,588**	**1,546**

* Including additions due to acquisition of assets during the year ended March 31, 2025 (Refer Note 20).

(b) Goodwill

Goodwill represents the cost of acquired business as established at the date of acquisition of the business in excess of the acquirer's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities less accumulated impairment losses, if any. Goodwill is tested for impairment annually or when events or circumstances indicate that the implied fair value of goodwill is less than its carrying amount.

CGUs to which goodwill has been allocated are tested for impairment annually, or more frequently when there is indication for impairment. The financial projections basis which the future cash flows have been estimated consider economic uncertainties, reassessment of the discount rates, revisiting the growth rates factored while arriving at terminal value and subjecting these variables to sensitivity analysis. If the recoverable amount of a CGU is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro-rata on the basis of the carrying amount of each asset in the unit.

Goodwill consists of the following:

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Balance at the beginning of the period	**1,860**	**1,832**
Additional amount recognised from a business combination (Refer note 7(a))	587	-
Translation exchange difference	206	28
Balance at the end of the period	**2,653**	**1,860**

Goodwill of ₹651 crore and ₹706 crore as at December 31, 2025 and March 31, 2025, respectively, has been allocated to the TCS business in France.

In the absence of any indication of impairment, goodwill was last tested on March 31, 2025. On that date, the estimated value-in-use of this CGU is based on the future cash flows using a 1.50% annual growth rate for periods subsequent to the forecast period of 5 years and discount rate of 9.27%. An analysis of the sensitivity of the computation to a change in key parameters (operating margin, discount rates and long term average growth rate), based on reasonable assumptions, did not identify any probable scenario in which the recoverable amount of the CGU would decrease below its carrying amount.

Goodwill of ₹587 crore and NIL as at December 31, 2025 and March 31, 2025, respectively, is on account of acquisition of ListEngage Midco, LLC along with its subsidiary ListEngage, LLC.

The remaining amount of goodwill of ₹1,415 crore and ₹1,154 crore as at December 31, 2025 and March 31, 2025, respectively, (relating to different CGUs individually immaterial) has been evaluated based on the cash flow forecasts of the related CGUs and the recoverable amounts of these CGUs exceeded their carrying amounts.

(c) Other intangible assets

Intangible assets purchased including acquired in business combination, are measured at cost as at the date of acquisition, as applicable, less accumulated amortisation and accumulated impairment, if any.

Intangible assets consist of rights under licensing agreement and software licences and customer-related intangibles.

Following table summarises the nature of intangibles and their estimated useful lives:

Type of asset	Useful lives
Rights under licensing agreement and software licences	Lower of licence period and 1-5 years
Customer-related intangibles	3 years

Intangible assets are amortised on a straight-line basis over the period of its economic useful life.

Intangible assets with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

Intangible assets consist of the following:

(₹ crore)

	Rights under licensing agreement and software licences	Customer-related intangibles	Total
Cost as at April 1, 2025	**3,005**	**129**	**3,134**
Additions	65	-	65
Acquisition through a business combination	-	2	2
Disposals / Derecognised	(609)	-	(609)
Translation exchange difference	15	11	26
Cost as at December 31, 2025	**2,476**	**142**	**2,618**
Accumulated amortisation as at April 1, 2025	**(2,065)**	**(129)**	**(2,194)**
Amortisation	(721)	-	(721)
Disposals / Derecognised	609	-	609
Translation exchange difference	(15)	(11)	(26)
Accumulated amortisation as at December 31, 2025	**(2,192)**	**(140)**	**(2,332)**
Net carrying amount as at December 31, 2025	**284**	**2**	**286**

(₹ crore)

	Rights under licensing agreement and software licences	Customer-related intangibles	Total
Cost as at April 1, 2024	**2,004**	**127**	**2,131**
Additions	1,156	-	1,156
Disposals / Derecognised	(159)	-	(159)
Translation exchange difference	4	2	6
Cost as at March 31, 2025	**3,005**	**129**	**3,134**
Accumulated amortisation as at April 1, 2024	**(1,494)**	**(127)**	**(1,621)**
Amortisation	(727)	-	(727)
Disposals / Derecognised	159	-	159
Translation exchange difference	(3)	(2)	(5)
Accumulated amortisation as at March 31, 2025	**(2,065)**	**(129)**	**(2,194)**
Net carrying amount as at March 31, 2025	**940**	**-**	**940**

The estimated amortisation for the periods subsequent to December 31, 2025 is as follows:

Period ending December 31,	(₹ crore) Amortisation expense
2026	135
2027	89
2028	44
2029	16
Thereafter	2
	286

(d) Other assets

Other assets consist of the following:

Other assets – Non-current

	As at December 31, 2025	As at March 31, 2025
		(₹ crore)
Considered good		
Capital advances	231	180
Advances to related parties	131	226
Contract assets	614	295
Prepaid expenses	901	2,456
Contract fulfillment costs	189	297
Others	247	258
	2,313	**3,712**
Advances to related parties, considered good, comprise:		
Tata Realty and Infrastructure Limited	-	-*
Tata Projects Limited	126	224
Titan Engineering and Automation Limited	2	2
Universal MEP Projects & Engineering Services Limited	3	-*

*Represents value less than ₹0.50 crore.

Other assets – Current

	As at December 31, 2025	As at March 31, 2025
		(₹ crore)
Considered good		
Advance to suppliers	282	224
Advance to related parties	1,452	1,462
Contract assets	6,509	6,233
Prepaid expenses	2,369	2,383
Contract fulfillment costs	2,455	2,317
Indirect taxes recoverable	2,000	1,811
Others	486	354
Considered doubtful		
Advance to suppliers	2	2
Other advances	4	3
Less: Allowance for doubtful assets	(6)	(5)
	15,553	**14,784**
Advance to related parties, considered good comprise:		
Tata AIG General Insurance Company Limited	13	1
Titan Company Limited	7	1
Tejas Networks Limited	1,432	1,460

Non-current – Others includes advance of ₹177 crore and ₹177 crore towards acquiring right-of-use of leasehold land as at December 31, 2025 and March 31, 2025, respectively.

Contract fulfillment costs of ₹1,084 crore and ₹1,086 crore for nine months ended December 31, 2025 and year ended March 31, 2025, respectively, have been amortised in the consolidated statement of profit and loss. Refer note 11 for changes in contract assets.

(e) Inventories

Inventories consists of a) Raw materials, sub-assemblies and components, b) Work-in-progress, c) Stores and spare parts and d) Finished goods. Inventories are carried at lower of cost and net realisable value. The cost of raw materials, sub-assemblies and components is determined on a weighted average basis. Cost of finished goods produced or purchased by the Group includes direct material and labour cost and a proportion of manufacturing overheads.

Inventories consist of the following:

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Raw materials, sub-assemblies and components	23	20
Finished goods and work-in-progress	3	1
	26	**21**

(f) Other liabilities

Other liabilities consist of the following:

Other liabilities – Current

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Advance received from customers	1,468	1,896
Indirect taxes payable and other statutory liabilities	4,839	4,817
Others	638	475
	6,945	**7,188**

(g) Provisions

Provisions consist of the following:

Provisions – Current

		(₹ crore)
	As at December 31, 2025	**As at March 31, 2025**
Provision towards legal claim (Refer note 19)	1,010	-
Provision for foreseeable loss	118	118
Other provisions	67	62
	1,195	**180**

11) Revenue recognition

The Group earns revenue primarily from providing IT services, consulting and business solutions. The Group offers a consulting-led, cognitive powered, integrated portfolio of IT, business and engineering services and solutions.

Revenue is recognised upon transfer of control of promised products or services to customers in an amount that reflects the consideration which the Group expects to receive in exchange for those products or services.

- Revenue from time and material and job contracts is recognised on output basis measured by units delivered, efforts expended, number of transactions processed, etc.
- Revenue related to fixed price maintenance and support services contracts where the Group is standing ready to provide services is recognised based on time elapsed mode and revenue is straight-lined over the period of performance.
- In respect of other fixed-price contracts, revenue is recognised using percentage-of-completion method ('POC method') of accounting with contract costs incurred determining the degree of completion of the performance obligation. The contract costs used in computing the revenues include cost of fulfilling warranty obligations.
- Revenue from the sale of distinct internally developed software and manufactured systems and third party software is recognised upfront at the point in time when the system / software is delivered to the customer. In cases where implementation and / or customisation services rendered significantly modifies or customises the software, these services and software are accounted for as a single performance obligation and revenue is recognised over time on a POC method.
- Revenue from the sale of distinct third party hardware is recognised at the point in time when control is transferred to the customer.
- The solutions offered by the Group may include supply of third-party equipment or software. In such cases, revenue for supply of such third party products are recorded at gross or net basis depending on whether the Group is acting as the principal or as an agent of the customer. The Group recognises revenue in the gross amount of consideration when it is acting as a principal and at net amount of consideration when it is acting as an agent.

Revenue is measured based on the transaction price, which is the consideration, adjusted for volume discounts, service level credits, performance bonuses, price concessions and incentives, if any, as specified in the contract with the customer. Revenue also excludes taxes collected from customers.

The Group's contracts with customers could include promises to transfer multiple products and services to a customer. The Group assesses the products / services promised in a contract and identifies distinct performance obligations in the contract. Identification of distinct performance obligation involves judgement to determine the deliverables and the ability of the customer to benefit independently from such deliverables.

Judgement is also required to determine the transaction price for the contract and to ascribe the transaction price to each distinct performance obligation. The transaction price could be either a fixed amount of customer consideration or variable consideration with elements such as volume discounts, service level credits, performance bonuses, price concessions and incentives. The transaction price is also adjusted for the effects of the time value of money if the contract includes a significant financing component. Any consideration payable to the customer is adjusted to the transaction price, unless it is a payment for a distinct product or service from the customer.

The estimated amount of variable consideration is adjusted in the transaction price only to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur and is reassessed at the end of each reporting period. The Group allocates the elements of variable considerations to all the performance obligations of the contract unless there is observable evidence that they pertain to one or more distinct performance obligations.

The Group exercises judgement in determining whether the performance obligation is satisfied at a point in time or over a period of time. The Group considers indicators such as how customer consumes benefits as services are rendered or who controls the asset as it is being created or existence of enforceable right to payment for performance to date and alternate use of such product or service, transfer of significant risks and rewards to the customer, acceptance of delivery by the customer, etc.

Contract fulfilment costs are generally expensed as incurred except for certain software licence costs which meet the criteria for capitalisation. Such costs are amortised over the contractual period or useful life of licence, whichever is less. The assessment of this criteria requires the application of judgement, in particular when considering if costs generate or enhance resources to be used to satisfy future performance obligations and whether costs are expected to be recovered.

Contract assets are recognised when there are excess of revenues earned over billings on contracts. Contract assets are classified as unbilled receivables (only act of invoicing is pending) when there is unconditional right to receive cash, and only passage of time is required, as per contractual terms.

Unearned and deferred revenue ("contract liability") is recognised when there are billings in excess of revenues.

The billing schedules agreed with customers include periodic performance based payments and / or milestone based progress payments. Invoices are payable within contractually agreed credit period.

In accordance with Ind AS 37, the Group recognises an onerous contract provision when the unavoidable costs of meeting the obligations under a contract exceed the economic benefits to be received.

Contracts are subject to modification to account for changes in contract specification and requirements. The Group reviews modification to contract in conjunction with the original contract, basis which the transaction price could be allocated to a new performance obligation, or transaction price of an existing obligation could undergo a change. In the event transaction price is revised for existing obligation, a cumulative adjustment is accounted for.

The Group disaggregates revenue from contracts with customers by nature of services, industry verticals and geography.

Revenue disaggregation by nature of services is as follows:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Consultancy services	65,861	63,071	1,93,430	1,88,581
Sale of equipment and software licences	1,226	902	2,893	2,264
	67,087	**63,973**	**1,96,323**	**1,90,845**

Revenue disaggregation by industry vertical and geography has been included in segment information (Refer note 18).

While disclosing the aggregate amount of transaction price yet to be recognised as revenue towards unsatisfied (or partially satisfied) performance obligations, along with the broad time band for the expected time to recognise those revenues, the Group has applied the practical expedient in Ind AS 115. Accordingly, the Group has not disclosed the aggregate transaction price allocated to unsatisfied (or partially satisfied) performance obligations which pertain to contracts where revenue recognised corresponds to the value transferred to customer typically involving time and material, outcome based and event based contracts.

Unsatisfied (or partially satisfied) performance obligations are subject to variability due to several factors such as terminations, changes in scope of contracts, periodic revalidations of the estimates, economic factors (changes in currency rates, tax laws etc). The aggregate value of transaction price allocated to unsatisfied (or partially satisfied) performance obligations is ₹197,029 crore out of which 44.26% is expected to be recognised as revenue in the next year and the balance thereafter. No consideration from contracts with customers is excluded from the amount mentioned above.

Changes in contract assets are as follows:

(₹ crore)

	Nine months ended December 31, 2025	Year ended March 31, 2025
Balance at the beginning of the period	**6,528**	**6,141**
Invoices raised that were included in the contract assets balance at the beginning of the period	(4,791)	(4,593)
Increase due to revenue recognised during the period, excluding amounts billed during the period	4,970	4,843
Translation exchange difference	416	137
Balance at the end of the period	**7,123**	**6,528**

Changes in unearned and deferred revenue are as follows:

(₹ crore)

	Nine months ended December 31, 2025	Year ended March 31, 2025
Balance at the beginning of the period	**4,546**	**4,122**
Revenue recognised that was included in the unearned and deferred revenue balance at the beginning of the period	(4,150)	(3,714)
Increase due to invoicing during the period, excluding amounts recognised as revenue during the period	4,170	4,140
Translation exchange difference	167	(2)
Balance at the end of the period	**4,733**	**4,546**

Reconciliation of revenue recognised with the contracted price is as follows:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Contracted price	68,465	65,081	1,99,975	1,93,744
Reductions towards variable consideration components	(1,378)	(1,108)	(3,652)	(2,899)
Revenue recognised	**67,087**	**63,973**	**1,96,323**	**1,90,845**

The reduction towards variable consideration comprises of volume discounts, service level credits, etc.

12) Other income

Dividend income is recorded when the right to receive payment is established. Interest income is recognised using the effective interest method.

Other income consist of the following:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Interest income	808	949	2,960	2,535
Dividend from mutual fund units and other investments	8	14	26	37
Net gain on disposal / fair valuation of investments carried at fair value through profit or loss	108	77	283	194
Net gain on sale of investments carried at fair value through OCI	141	-	217	1
Net gain on disposal of property, plant and equipment	6	5	7	13
Net gain on lease modification	9	2	24	14
Net gain on sub-lease	2	-	2	-
Net foreign exchange gain / (loss)	(4)	188	(188)	104
Rent income	3	1	9	1
Awards from litigation	-	-	191	-
Net gain on fair valuation of call option	-	-	43	-
Other income	37	7	71	35
	1,118	**1,243**	**3,645**	**2,934**
Interest income comprise:				
Interest on bank balances and bank deposits	203	293	560	692
Interest on financial assets carried at amortised cost	63	87	150	188
Interest on financial assets carried at fair value through OCI	539	542	1,563	1,589
Other interest (including interest on tax refunds)	3	27	687	66

13) Employee benefits

Defined benefit plans

For defined benefit plans, the cost of providing benefits is determined using the Projected Unit Credit Method, with actuarial valuations being carried out at each balance sheet date. Remeasurement, comprising actuarial gains and losses, the effect of the changes to the asset ceiling and the return on plan assets (excluding interest), is reflected immediately in the balance sheet with a charge or credit recognised in other comprehensive income in the period in which they occur. Past service cost, both vested and unvested, is recognised as an expense at the earlier of (a) when the plan amendment or curtailment occurs; and (b) when the entity recognises related restructuring costs or termination benefits.

The retirement benefit obligations recognised in the balance sheet represents the present value of the defined benefit obligations reduced by the fair value of scheme assets. Any asset resulting from this calculation is limited to the present value of available refunds and reductions in future contributions to the scheme.

The Group provides benefits such as gratuity, pension and provident fund (Company managed fund) to its employees which are treated as defined benefit plans.

Defined contribution plans

Contributions to defined contribution plans are recognised as expense when employees have rendered services entitling them to such benefits.

The Group provides benefits such as superannuation, provident fund (other than Company managed fund) and foreign defined contribution plans to its employees which are treated as defined contribution plans.

Short-term employee benefits

All employee benefits payable wholly within twelve months of rendering the service are classified as short-term employee benefits. Benefits such as salaries, wages etc. and the expected cost of ex-gratia are recognised in the period in which the employee renders the related service. A liability is recognised for the amount expected to be paid when there is a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Compensated absences

Compensated absences which are expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as undiscounted liability at the balance sheet date. Compensated absences which are not expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as an actuarially determined liability at the present value of the defined benefit obligations at the balance sheet date using the Projected Unit Credit Method.

Termination benefits

Termination benefits are expensed at the earlier of when the Group is obligated to pay those benefits and when the Group recognises costs for a restructuring.

Employee benefit expenses consist of the following:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Salaries, incentives and allowances	34,304	32,183	1,02,223	97,338
Contributions to provident and other funds	3,164	2,869	9,471	8,757
Staff welfare expenses	1,062	904	3,157	2,931
	38,530	**35,956**	**1,14,851**	**1,09,026**

Employee benefit obligations consist of the following:

Employee benefit obligations – Non-current

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Gratuity liability	185	17
Foreign defined benefit plans	615	548
Other employee benefit obligations	288	276
	1,088	**841**

Employee benefit obligations – Current

(₹ crore)

	As at December 31, 2025	As at March 31, 2025
Compensated absences	5,508	4,839
Other employee benefit obligations	52	46
	5,560	**4,885**

Employee benefit plans consist of the following:

Gratuity and pension

In accordance with Indian law, Tata Consultancy Services Limited and its subsidiaries in India operate a scheme of gratuity which is a defined benefit plan. The gratuity plan provides for a lump sum payment to vested employees at retirement, death while in employment or on termination of employment of an amount equivalent to 15 to 30 days' salary payable for each completed year of service. Vesting occurs upon completion of five continuous years of service. The Company manages the plan through a trust. Trustees administer contributions made to the trust. Certain overseas subsidiaries and branches of the Company also provide for retirement benefit pension plans in accordance with the local laws.

The following table sets out the details of the defined benefit retirement plans and the amounts recognised in the financial statements:

(₹ crore)

	Nine months ended December 31, 2025					Year ended March 31, 2025				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Change in benefit obligations										
Benefit obligations, beginning of the period	**6,190**	**4**	**2,062**	**435**	**8,691**	**5,300**	**3**	**1,898**	**392**	**7,593**
Translation exchange difference	7	-	302	54	363	-	-	70	(21)	49
Plan participants' contribution	-	-	12	-	12	-	-	21	-	21
Service cost	442	1	31	62	536	540	-	32	64	636
Interest cost	307	-	50	23	380	395	-	61	18	474
Remeasurement of the defined benefit obligations	(70)	-	(113)	(28)	(211)	319	1	48	17	385
Past service cost (Refer note 23)	1,816	-	-	-	1,816	-	-	-	-	-
Benefits paid	(527)	-	(89)	(29)	(645)	(364)	-	(68)	(35)	(467)
Benefit obligations, end of the period	**8,165**	**5**	**2,255**	**517**	**10,942**	**6,190**	**4**	**2,062**	**435**	**8,691**

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of consolidated interim financial statements

(₹ crore)

	Nine months ended December 31, 2025					Year ended March 31, 2025				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Change in plan assets										
Fair value of plan assets, beginning of the period	**7,906**	**-**	**2,368**	**-**	**10,274**	**7,234**	**-**	**2,078**	**-**	**9,312**
Translation exchange difference	-	-	347	-	347	-	-	73	-	73
Interest income	390	-	59	-	449	529	-	70	-	599
Employers' contributions	187	-	42	-	229	367	-	56	-	423
Plan participants' contribution	-	-	12	-	12	-	-	21	-	21
Benefits paid	(527)	-	(89)	-	(616)	(364)	-	(68)	-	(432)
Remeasurement - return on plan assets excluding amount included in interest income	29	-	49	-	78	140	-	138	-	278
Fair value of plan assets, end of the period	**7,985**	**-**	**2,788**	**-**	**10,773**	**7,906**	**-**	**2,368**	**-**	**10,274**

(₹ crore)

	As at December 31, 2025					As at March 31, 2025				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Funded status										
Deficit of plan assets over obligations	(180)	(5)	(98)	(517)	(800)	(13)	(4)	(113)	(435)	(565)
Surplus of plan assets over obligations	-	-	631	-	631	1,729	-	419	-	2,148
	(180)	**(5)**	**533**	**(517)**	**(169)**	**1,716**	**(4)**	**306**	**(435)**	**1,583**

(₹ crore)

	As at December 31, 2025					As at March 31, 2025				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Category of assets										
Corporate bonds	2,108	-	84	-	2,192	2,023	-	77	-	2,100
Equity instruments	357	-	-	-	357	267	-	-	-	267
Government bonds and securities	3,330	-	-	-	3,330	3,559	-	-	-	3,559
Insurer managed funds	2,003	-	2,508	-	4,511	1,892	-	2,116	-	4,008
Bank balances	4	-	2	-	6	5	-	3	-	8
Others	183	-	194	-	377	160	-	172	-	332
	7,985	**-**	**2,788**	**-**	**10,773**	**7,906**	**-**	**2,368**	**-**	**10,274**

Net periodic gratuity / pension cost, included in employee cost consists of the following components:

(₹ crore)

	Nine months ended December 31, 2025					Year ended March 31, 2025				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Service cost	442	1	31	62	536	540	-	32	64	636
Net interest on defined benefit (assets) / obligations	(83)	-	(9)	23	(69)	(134)	-	(9)	18	(125)
Past service cost (Refer note 23)	1,816	-	-	-	1,816	-	-	-	-	-
Net periodic gratuity / pension cost	**2,175**	**1**	**22**	**85**	**2,283**	**406**	**-**	**23**	**82**	**511**
Actual return on plan assets	**419**	**-**	**108**	**-**	**527**	**669**	**-**	**208**	**-**	**877**

Remeasurement of the defined benefit (assets) / obligations:

(₹ crore)

	Nine months ended December 31, 2025				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Actuarial (gains) / losses arising from changes in demographic assumptions	-	-	-	(6)	(6)
Actuarial (gains) / losses arising from changes in financial assumptions	-	-	(129)	1	(128)
Actuarial (gains) / losses arising from changes in experience adjustments	(70)	-	16	(23)	(77)
Remeasurement of the defined benefit obligations	**(70)**	**-**	**(113)**	**(28)**	**(211)**
Remeasurement - return on plan assets excluding amount included in interest income	(29)	-	(49)	-	(78)
	(99)	**-**	**(162)**	**(28)**	**(289)**

(₹ crore)

	Year ended March 31, 2025				
	Domestic plans Funded	Domestic plans Unfunded	Foreign plans Funded	Foreign plans Unfunded	Total
Actuarial (gains) / losses arising from changes in demographic assumptions	12	-	1	1	14
Actuarial (gains) / losses arising from changes in financial assumptions	222	1	68	15	306
Actuarial (gains) / losses arising from changes in experience adjustments	85	-	(21)	1	65
Remeasurement of the defined benefit obligations	**319**	**1**	**48**	**17**	**385**
Remeasurement - return on plan assets excluding amount included in interest income	(140)	-	(138)	-	(278)
	179	**1**	**(90)**	**17**	**107**

The assumptions used in accounting for the defined benefit plan are set out below:

	As at December 31, 2025		As at March 31, 2025	
	Domestic plans	Foreign plans	Domestic plans	Foreign plans
Discount rate	6.50% - 6.75%	1.16% - 9.30%	6.50% - 6.75%	1.10% - 9.40%
Rate of increase in compensation levels of covered employees	6.00% - 10.00%	1.25% - 7.00%	6.00% - 10.00%	1.25% - 7.00%
Rate of return on plan assets	6.50% - 6.75%	1.16% - 9.30%	6.50% - 6.75%	1.10% - 9.40%
Weighted average duration of defined benefit obligations	6-12 Years	3-26 Years	6-12 Years	3-27 Years

Future mortality assumptions are taken based on the published statistics by the Insurance Regulatory and Development Authority of India.

The expected benefits are based on the same assumptions as are used to measure Group's defined benefit plan obligations as at December 31, 2025. The Group is expected to contribute ₹37 crore to defined benefit plan obligations funds for the period ending December 31, 2026 comprising domestic component of ₹7 crore and foreign component of ₹30 crore.

The significant actuarial assumptions for the determination of the defined benefit obligations are discount rate and expected salary increase. The sensitivity analysis below have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

If the discount rate increases / decreases by 0.50%, the defined benefit obligations would increase / (decrease) as follows:

	As at December 31, 2025	As at March 31, 2025
Increase of 0.50%	(420)	(318)
Decrease of 0.50%	429	350

If the expected salary growth increases / decreases by 0.50%, the defined benefit obligations would increase / (decrease) as follows:

	As at December 31, 2025	As at March 31, 2025
Increase of 0.50%	207	198
Decrease of 0.50%	(199)	(190)

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligations as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligations has been calculated using the Projected Unit Credit Method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligations recognised in the balance sheet.

Each year an Asset-Liability matching study is performed in which the consequences of the strategic investment policies are analysed in terms of risk and return profiles. Investment and contribution policies are integrated within this study.

The defined benefit obligations shall mature after the period ended December 31, 2025 as follows:

	(₹ crore)
Period ending December 31,	**Defined benefit obligations**
2026	1,326
2027	1,205
2028	1,164
2029	1,068
2030	999
2031-2035	4,144

Provident fund

In accordance with Indian law, all eligible employees of Tata Consultancy Services Limited in India are entitled to receive benefits under the provident fund plan in which both the employee and employer (at a determined rate) contribute monthly to a trust set up by the Company to manage the investments and distribute the amounts entitled to employees. This plan is a defined benefit plan as the Company is obligated to provide its members a rate of return which should, at the minimum, meet the interest rate declared by Government administered provident fund. A part of the Company's contribution is transferred to the Government administered pension fund. The contributions made by the Company and the shortfall of interest, if any, are recognised as an expense in profit and loss under employee benefit expenses. As per the latest actuarial valuation report of provident fund liabilities on the basis of guidance issued by Actuarial Society of India under the deterministic approach, there is no deficiency in the interest cost as the present value of the expected future earnings of the fund is greater than the expected amount to be credited to the individual members based on the expected guaranteed rate of interest of Government administered provident fund. The principal assumptions used in the latest valuation report for determining the present value obligations of interest guarantee are discount rate: 6.50%, average remaining tenure of investment portfolio: 6 years and guaranteed rate of return are 8.25%.

All eligible employees of Indian subsidiaries of the Company are entitled to receive benefits under the provident fund plan in which both the employee and employer (at a determined rate) contribute monthly to the Government administered provident fund plan. A part of the Company's contribution is transferred to the Government administered pension fund. This plan is a defined contribution plan as the obligation of the employer is limited to the monthly contributions made to the fund. The contributions made to the fund are recognised as an expense in profit and loss under employee benefit expenses.

The Group expensed ₹418 crore and ₹451 crore for three months ended December 31, 2025 and 2024, respectively, towards provident fund.

The Group expensed ₹1,271 crore and ₹1,335 crore for nine months ended December 31, 2025 and 2024, respectively, towards provident fund.

Superannuation

All eligible employees on Indian payroll are entitled to benefits under Superannuation, a defined contribution plan. The Group makes monthly contributions until retirement or resignation of the employee. The Group recognises such contributions as an expense when incurred. The Group has no further obligation beyond its monthly contribution.

The Group expensed ₹119 crore and ₹126 crore for three months ended December 31, 2025 and 2024, respectively, towards Employees' Superannuation Fund.

The Group expensed ₹374 crore and ₹371 crore for nine months ended December 31, 2025 and 2024, respectively, towards Employees' Superannuation Fund.

Foreign defined contribution plans:

The Group expensed ₹755 crore and ₹673 crore for three months ended December 31, 2025 and 2024, respectively, towards foreign defined contribution plans.

The Group expensed ₹2,260 crore and ₹2,084 crore for nine months ended December 31, 2025 and 2024, respectively, towards foreign defined contribution plans.

14) Cost recognition

Costs and expenses are recognised when incurred and have been classified according to their nature.

The costs of the Group are broadly categorised in employee benefit expenses, cost of equipment and software licences, depreciation and amortisation expense and other expenses. Other expenses mainly include fees to external consultants, facility expenses, travel expenses, communication expenses, bad debts and advances written off, allowance for expected credit losses and doubtful advances (net) and other expenses. Other expenses are aggregation of costs which are individually not material such as commission and brokerage, recruitment and training, entertainment, etc.

(a) Cost of equipment and software licences

Cost of equipment and software licences consist of the following:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Raw materials, sub-assemblies and components consumed	10	16	24	33
Equipment and software licences purchased	1,253	3,505	2,933	8,870
	1,263	**3,521**	**2,957**	**8,903**
Finished goods and work-in-progress				
Opening stock	2	1	1	-
Less: Closing stock	3	3	3	3
	(1)	**(2)**	**(2)**	**(3)**
	1,262	**3,519**	**2,955**	**8,900**

(b) Other expenses

Other expenses consist of the following:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Fees to external consultants	3,749	2,970	10,462	8,624
Facility expenses	941	873	2,743	2,567
Travel expenses	816	729	2,442	2,384
Communication expenses	717	596	1,985	1,748
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	37	42	100	104
Other expenses	2,766	2,254	7,663	7,065
	9,026	**7,464**	**25,395**	**22,492**

Other expenses include ₹1,246 crore and ₹1,147 crore for three months ended December 31, 2025 and 2024, respectively, towards project expenses.

Other expenses include ₹3,535 crore and ₹3,203 crore for nine months ended December 31, 2025 and 2024, respectively, towards project expenses.

The Company made a contribution to an electoral trust of NIL and ₹218 crore for nine months ended December 31, 2025 and 2024, respectively, which is included in other expenses.

15) Finance costs

Finance costs consist of the following:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Interest on lease liabilities	191	160	577	467
Interest on tax matters	1	4	8	(1)
Other interest costs	346	70	377	103
	538	**234**	**962**	**569**

16) Income taxes

Income tax expense comprises current tax expense and the net change in the deferred tax asset or liability during the year. Current and deferred taxes are recognised in statement of profit and loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity, respectively.

Current income taxes

The current income tax expense includes income taxes payable by the Company and its subsidiaries in India and overseas.

The Company has recognised income tax expenses applying the provisions under section 115BAA of the Income-tax Act, 1961.

Current income tax payable by overseas branches of the Company is computed in accordance with the tax laws applicable in the jurisdiction in which the respective branch operates. The taxes paid are generally available for set off against the Indian income tax liability of the Company's worldwide income.

The current income tax expense for overseas subsidiaries has been computed based on the tax laws applicable to each subsidiary in the respective jurisdiction in which it operates.

Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.
Advance taxes and provisions for current income taxes are presented in the balance sheet after off-setting advance tax paid and income tax provision arising in the same tax jurisdiction and where the relevant tax paying unit intends to settle the asset and liability on a net basis.

The Organisation for Economic Co-operation and Development (OECD) has published the model rules for global minimum tax (Pillar Two model rules). Pillar Two legislation has been enacted, or substantively enacted, in certain jurisdictions where the Group operates. The Group is within the scope of the OECD Pillar Two model rules and has evaluated the potential exposure to global minimum tax. The Group does not expect any material financial impact for the current period. The evaluation of the potential exposure is based on the most recent country-by-country reporting, and financial statements for the constituent entities in the Group.

Deferred income taxes

Deferred income tax is recognised using the balance sheet approach. Deferred income tax assets and liabilities are recognised for deductible and taxable temporary differences arising between the tax base of assets and liabilities and their carrying amount, except when the deferred income tax arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination, affects neither accounting nor taxable profit or loss at the time of the transaction.

Deferred income tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax credits and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax liabilities are recognised for all taxable temporary differences except in respect of taxable temporary differences associated with investments in subsidiaries where timing of the reversal of the temporary difference can be controlled and it is probable that the temporary difference will not reverse in the foreseeable future.
Deferred tax assets and liabilities are measured using substantively enacted tax rates expected to apply to taxable income in the years in which the temporary differences are expected to be received or settled.

Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the relevant entity intends to settle its current tax assets and liabilities on a net basis.

The income tax expense consists of the following:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Current tax				
Current tax expense for current period	3,990	4,630	13,180	13,545
Current tax benefit pertaining to prior periods	(566)	(413)	(1,624)	(960)
	3,424	4,217	11,556	12,585
Deferred tax				
Deferred tax (benefit) / expense for current period	(79)	5	(113)	(152)
Deferred tax expense / (benefit) pertaining to prior periods	13	-	12	(8)
	(66)	5	(101)	(160)
	3,358	**4,222**	**11,455**	**12,425**

The reconciliation of estimated income tax expense at Indian statutory income tax rate to income tax expense reported in consolidated interim statement of profit and loss is as follows:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Profit before tax	14,078	16,666	47,125	48,929
Indian statutory income tax rate	25.17%	25.17%	25.17%	25.17%
Expected income tax expense	3,544	4,194	11,861	12,314
Tax effect of adjustments to reconcile expected income tax expense to reported income tax expense				
Tax holidays	-	-	-	(2)
Income exempt from tax	(16)	(127)	(423)	(419)
Undistributed earnings in branches and subsidiaries	96	197	180	272
Tax on income at different rates	257	765	992	765
Tax pertaining to prior periods	(553)	(413)	(1,612)	(968)
Others (net)	30	(394)	457	463
Total income tax expense	**3,358**	**4,222**	**11,455**	**12,425**

Significant components of net deferred tax assets and liabilities for nine months ended December 31, 2025 are as follows:

(₹ crore)

	Opening balance	Recognised in profit and loss	Recognised in / reclassified from other comprehensive income	Exchange difference	Closing balance
Deferred tax assets / (liabilities) in relation to					
Property, plant and equipment and intangible assets	**1,052**	166	-	8	**1,226**
Provision for employee benefits	**1,177**	142	(51)	12	**1,280**
Cash flow hedges	**6**	-	5	-	**11**
Receivables, financial assets at amortised cost	**453**	23	-	3	**479**
Branch profit tax	**(166)**	(93)	-	-	**(259)**
Undistributed earnings of subsidiaries	**(554)**	(80)	-	(1)	**(635)**
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	**(275)**	5	78	3	**(189)**
Lease liabilities and right-of-use assets	**241**	(332)	-	1	**(90)**
Others	**664**	270	-	45	**979**
	2,598	**101**	**32**	**71**	**2,802**

Gross deferred tax assets and liabilities are as follows:

(₹ crore)

As at December 31, 2025	Assets	Liabilities	Net
Deferred tax assets / (liabilities) in relation to			
Property, plant and equipment and intangible assets	1,364	138	1,226
Provision for employee benefits	1,296	16	1,280
Cash flow hedges	11	-	11
Receivables, financial assets at amortised cost	479	-	479
Branch profit tax	-	259	(259)
Undistributed earnings of subsidiaries	-	635	(635)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(186)	3	(189)
Lease liabilities	1,940	-	1,940
Right-of-use-assets	(2,030)	-	(2,030)
Others	1,128	149	979
	4,002	**1,200**	**2,802**

Significant components of net deferred tax assets and liabilities for the year ended March 31, 2025 are as follows:

(₹ crore)

	Opening balance	Recognised in profit and loss	Recognised in / reclassified from other comprehensive income	Exchange difference	Closing balance
Deferred tax assets / (liabilities) in relation to					
Property, plant and equipment and intangible assets	**739**	320	-	(7)	**1,052**
Provision for employee benefits	**1,108**	91	(27)	5	**1,177**
Cash flow hedges	**3**	-	3	-	**6**
Receivables, financial assets at amortised cost	**422**	32	-	(1)	**453**
Branch profit tax	**(100)**	(66)	-	-	**(166)**
Undistributed earnings of subsidiaries	**(680)**	126	-	-	**(554)**
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	**(126)**	-	(149)	-	**(275)**
Lease liabilities and right-of-use assets	**270**	(27)	-	(2)	**241**
Others	**790**	(100)	-	(26)	**664**
	2,426	**376**	**(173)**	**(31)**	**2,598**

Gross deferred tax assets and liabilities are as follows:

(₹ crore)

As at March 31, 2025	Assets	Liabilities	Net
Deferred tax assets / (liabilities) in relation to			
Property, plant and equipment and intangible assets	1,175	123	1,052
Provision for employee benefits	1,180	3	1,177
Cash flow hedges	6	-	6
Receivables, financial assets at amortised cost	454	1	453
Branch profit tax	-	166	(166)
Undistributed earnings of subsidiaries	-	554	(554)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(272)	3	(275)
Lease liabilities	1,680	-	1,680
Right-of-use-assets	(1,439)	-	(1,439)
Others	794	130	664
	3,578	**980**	**2,598**

Under the Income-tax Act, 1961, unabsorbed business losses expire 8 years after the year in which they originate. In respect of certain foreign subsidiaries, business losses can be carried forward indefinitely unless there is a substantial change in the ownership.

Unrecognised deferred tax assets relate primarily to business losses and tax credit entitlements which do not qualify for recognition as per the applicable accounting standards. These unabsorbed business losses will expire based on the year of origination as follows:

	(₹ crore)
December 31,	**Unabsorbed business losses**
2030	-
Thereafter	42
	42

Deferred tax liability on temporary differences of ₹10,488 crore as at December 31, 2025, associated with investments in subsidiaries, has not been recognised, as it is the intention of Tata Consultancy Services Limited to reinvest the earnings of these subsidiaries for the foreseeable future.

Direct tax contingencies

The Company and its subsidiaries have ongoing disputes with income tax authorities in India and in some of the other jurisdictions where they operate. The disputes relate to tax treatment of certain expenses claimed as deduction, computation or eligibility of tax incentives and allowances and characterisation of fees for services received. Contingent liability in respect of tax demands received from direct tax authorities in India and other jurisdictions is ₹649 crore and ₹1,073 crore as at December 31, 2025 and March 31, 2025, respectively. These demand orders are being contested by the Company and its subsidiaries based on the management evaluation and advise of tax consultants. In respect of tax contingencies of ₹318 crore and ₹318 crore as at December 31, 2025 and March 31, 2025, respectively, not included above, the Company is entitled to an indemnification from the seller of TCS e-Serve Limited.

The Group periodically receives notices and inquiries from income tax authorities related to the Group's operations in the jurisdictions it operates in. The Group has evaluated these notices and inquiries and has concluded that any consequent income tax claims or demands by the income tax authorities will not succeed on ultimate resolution.

The number of years that are subject to tax assessments varies depending on tax jurisdiction. The major tax jurisdictions of Tata Consultancy Services Limited include India, United States of America and United Kingdom. In India, tax filings from fiscal 2023 are generally subject to examination by the tax authorities. In United States of America, the federal statute of limitation applies to fiscals 2021 and earlier and applicable state statutes of limitation vary by state. In United Kingdom, the statute of limitation generally applies to fiscal 2019 and earlier.

17) Earnings per share

Basic earnings per share is computed by dividing profit or loss attributable to equity shareholders of the Company by the weighted average number of equity shares outstanding during the period. The Company did not have any potentially dilutive securities in any of the periods presented.

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Profit for the period attributable to shareholders of the Company (₹ crore)	10,657	12,380	35,492	36,329
Weighted average number of equity shares	361,80,87,518	361,80,87,518	361,80,87,518	361,80,87,518
Basic and diluted earnings per share (₹)	29.45	34.21	98.09	100.40
Face value per equity share (₹)	1	1	1	1

18) Segment information

Operating segments are defined as components of an enterprise for which discrete financial information is available that is evaluated regularly by the chief operating decision maker, in deciding how to allocate resources and assessing performance. The Group's chief operating decision maker is the Chief Executive Officer and Managing Director.

The Group has identified business segments ('industry vertical') as reportable segments. The business segments comprise: 1) Banking, Financial Services and Insurance, 2) Manufacturing, 3) Consumer Business, 4) Communication, Media and Technology, 5) Life Sciences and Healthcare and 6) Others such as Energy, Resources and Utilities, s-Governance and Products.
Revenue and expenses directly attributable to segments are reported under each reportable segment. Expenses which are not directly identifiable to each reporting segment have been allocated on the basis of associated revenue of the segment. All other expenses which are not attributable or allocable to segments or are non-recurring in nature have been disclosed as unallocable expenses.

The assets and liabilities of the Group are used interchangeably amongst segments. Allocation of such assets and liabilities is not practicable and any forced allocation would not result in any meaningful segregation. Hence assets and liabilities have not been identified to any of the reportable segments.

Summarised segment information for three and nine months ended December 31, 2025 and 2024, is as follows:

Three months ended December 31, 2025							**(₹ crore)**
	Banking, Financial Services and Insurance	**Manufacturing**	**Consumer Business**	**Communication, Media and Technology**	**Life Sciences and Healthcare**	**Others**	**Total**
Revenue from operations	**25,889**	**6,580**	**10,581**	**9,902**	**7,068**	**7,067**	**67,087**
Segment result	**6,861**	**1,910**	**3,089**	**2,913**	**1,982**	**1,514**	**18,269**
Total unallocable expenses*							5,309
Operating income							**12,960**
Other income							1,118
Profit before tax							**14,078**
Tax expense							3,358
Profit for the period							**10,720**
Depreciation and amortisation expense (unallocable)							**1,380**
Significant non-cash items (allocable)	4	1	-	22	1	10	**37**

*Includes Statutory impact of new Labour Codes ₹2,128 (Refer note 23), Provision towards legal claim ₹1,010 crore (Refer note 19) and Re-structuring expenses of ₹253 crore (Refer note 22) for three months ended December 31, 2025.

Nine months ended December 31, 2025							**(₹ crore)**
	Banking, Financial Services and Insurance	**Manufacturing**	**Consumer Business**	**Communication, Media and Technology**	**Life Sciences and Healthcare**	**Others**	**Total**
Revenue from operations	**76,342**	**19,612**	**31,087**	**29,140**	**20,374**	**19,768**	**1,96,323**
Segment result	**19,894**	**5,929**	**8,756**	**8,401**	**5,448**	**4,694**	**53,122**
Total unallocable expenses*							9,642
Operating income							**43,480**
Other income							3,645
Profit before tax							**47,125**
Tax expense							11,455
Profit for the period							**35,670**
Depreciation and amortisation expense (unallocable)							**4,154**
Significant non-cash items (allocable)	(2)	2	5	35	1	57	**100**

*Includes Statutory impact of new Labour Codes ₹2,128 (Refer note 23), Provision towards legal claim ₹1,010 crore (Refer note 19) and Re-structuring expenses of ₹1,388 crore (Refer note 22) for nine months ended December 31, 2025.

Three months ended December 31, 2024 (₹ crore)

	Banking, Financial Services and Insurance	Manufacturing	Consumer Business	Communication, Media and Technology	Life Sciences and Healthcare	Others	Total
Revenue from operations	**23,481**	**6,194**	**10,035**	**11,989**	**6,426**	**5,848**	**63,973**
Segment result	**6,403**	**2,042**	**2,971**	**2,390**	**1,816**	**1,412**	**17,034**
Total unallocable expenses							1,611
Operating income							**15,423**
Other income							1,243
Profit before tax							**16,666**
Tax expense							4,222
Profit for the period							**12,444**
Depreciation and amortisation expense (unallocable)							**1,377**
Significant non-cash items (allocable)	(7)	(1)	2	18	(10)	40	**42**

Nine months ended December 31, 2024 (₹ crore)

	Banking, Financial Services and Insurance	Manufacturing	Consumer Business	Communication, Media and Technology	Life Sciences and Healthcare	Others	Total
Revenue from operations	**70,340**	**18,775**	**30,051**	**34,871**	**19,965**	**16,843**	**1,90,845**
Segment result	**18,759**	**6,196**	**8,293**	**7,206**	**5,757**	**4,216**	**50,427**
Total unallocable expenses							4,432
Operating income							**45,995**
Other income							2,934
Profit before tax							**48,929**
Tax expense							12,425
Profit for the period							**36,504**
Depreciation and amortisation expense (unallocable)							**3,863**
Significant non-cash items (allocable)	(9)	(3)	5	30	(11)	92	**104**

Information regarding geographical revenue is as follows:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Americas (1)	33,915	31,689	99,335	95,608
Europe (2)	21,792	19,557	64,284	59,402
India	4,118	6,255	11,587	16,631
Others	7,262	6,472	21,117	19,204
Total	**67,087**	**63,973**	**1,96,323**	**1,90,845**

Geographical non-current assets (property, plant and equipment, right-of-use assets, goodwill, other intangible assets, income tax assets and other non-current assets) are allocated based on the location of the assets.

Information regarding geographical non-current assets is as follows:

		(₹ crore)
Geography	**As at December 31, 2025**	**As at March 31, 2025**
Americas (3)	2,802	2,520
Europe (4)	4,949	4,059
India	22,069	22,186
Others	1,123	1,122
Total	**30,943**	**29,886**

(1) includes revenue in the United States of America of ₹29,818 crore and ₹28,130 crore for three months ended December 31, 2025 and 2024, respectively.
(1) includes revenue in the United States of America of ₹87,466 crore and ₹84,954 crore for nine months ended December 31, 2025 and 2024, respectively.
(2) includes revenue in the United Kingdom of ₹11,358 crore and ₹10,637 crore for three months ended December 31, 2025 and 2024, respectively.
(2) includes revenue in the United Kingdom of ₹34,252 crore and ₹32,115 crore for nine months ended December 31, 2025 and 2024, respectively.
(3) is substantially related to operations in the United States of America.
(4) includes non-current assets in the United Kingdom of ₹1,973 crore and ₹1,524 crore as at December 31, 2025 and March 2025, respectively.

Information about major customers

No single customer represents 10% or more of the Group's total revenue for three months and nine months ended December 31, 2025 and 2024, respectively.

19) Commitments and contingencies

Capital commitments

The Group has contractually committed (net of advances) ₹2,870 crore and ₹2,574 crore as at December 31, 2025 and March 31, 2025, respectively, for purchase of property, plant and equipment.

Contingencies

- **Direct tax matters**

Refer note 16

- **Indirect tax matters**

The Company and its subsidiaries have ongoing disputes with tax authorities mainly relating to treatment of characterisation and classification of certain items. The Company and its subsidiaries have demands amounting to ₹1,395 crore and ₹1,190 crore as at December 31, 2025 and March 31, 2025, respectively, from various indirect tax authorities which are being contested by the Company and its subsidiaries based on the management evaluation and advice of tax consultants.

- **Other claims**

➢ Claims aggregating ₹270 crore and ₹248 crore as at December 31, 2025 and March 31, 2025, respectively, against the Group have not been acknowledged as debts.

➢ In April 2019, Computer Sciences Corporation (referred to as CSC) filed a legal claim against the Company in the Court of Northern District of Texas and Dallas Division (trial court) alleging misappropriation of trade secrets and other CSC's confidential information and sought preliminary and permanent injunctive relief, and unspecified monetary damages and disgorgement of profits.

A trial before an advisory jury was held and on November 17, 2023, the jury returned an advisory verdict in favour of CSC, finding that the Company misappropriated CSC's trade secrets and recommended compensation of US $70 million (equivalent to ₹629 crore) and a further punitive damage of US $140 million (equivalent to ₹1,259 crore) to be paid by the Company to CSC.

Subsequently, the parties filed their respective written submissions in the matter. On June 13, 2024, the trial court passed a judgement as follows:

1. The Court ordered that the Company is liable to CSC for US $56 million (equivalent to ₹505 crore) in compensatory damages and US $112 million (equivalent to ₹1,010 crore) in exemplary damages.
2. The Court also assessed that the Company is liable for US $26 million (equivalent to ₹232 crore) in prejudgment interest through June 13, 2024.
3. The Court also passed certain injunction and other reliefs against the Company.

Pursuant to US Court procedures, a Letter of Credit has been made available to CSC for US $250 million (equivalent to ₹2,248 crore) as financial security in order to stay execution of the judgement pending appeal proceedings and conclusion.

On November 21, 2025, the Fifth Circuit issued a decision affirming the District Court's rulings on liability but vacating the previously granted Injunction and remanding to the district court to re-enter a narrower injunction. The Company filed a petition for rehearing en banc and a petition for panel rehearing in the appellate court on December 5, 2025, which was denied on December 19, 2025.

The Company, based on consultation with the external lawyers and legal assessment, believes that it has a strong case and would defend its position vigorously and pursue legal remedies to overturn the decision of the Fifth Circuit.

Considering all the facts and various legal precedence, on a conservative and prudent basis, the Company provided US $112 million (₹1,010 crore) towards this legal claim in the consolidated interim statement of profit and loss for period ended December 31, 2025 as "Provision towards legal claim" under "Exceptional items". In addition, the Company has also provided US $38 million (₹342 crore) towards pre and post judgement interest until expected date of settlement of this liability and disclosed it under "Other interest costs".

Letter of comfort

The Company has given letter of comfort to banks for credit facilities availed by its subsidiaries. As per the terms of letter of comfort, the Company undertakes not to divest its ownership interest directly or indirectly in the subsidiary and provide such managerial, technical and financial assistance to ensure continued successful operations of the subsidiary.

The amounts assessed as contingent liability do not include interest that could be claimed by counter parties.

20) List of direct and indirect subsidiaries, country of incorporation and percentage of voting power

Name of the Company	Country of incorporation	% of voting power as at December 31, 2025	% of voting power as at March 31, 2025
As at December 31, 2025			
Subsidiaries (held directly)			
Tata America International Corporation	USA	100.00	100.00
Tata Consultancy Services Canada Inc.	Canada	100.00	100.00
ListEngage Midco, LLC	USA	100.00	-
TCS Iberoamerica S.A.	Uruguay	100.00	100.00
Tata Consultancy Services Belgium	Belgium	100.00	100.00
Tata Consultancy Services Deutschland GmbH	Germany	100.00	100.00
Tata Consultancy Services Netherlands B.V.	Netherlands	100.00	100.00
Tata Consultancy Services Sverige Aktiebolag	Sweden	100.00	100.00
Diligenta Limited	UK	100.00	100.00
Tata Consultancy Services UK Limited	UK	100.00	100.00
Tata Consultancy Services Ireland Limited	Ireland	100.00	100.00
Tata Consultancy Services Asia Pacific Pte. Ltd.	Singapore	100.00	100.00
TCS FNS Pty Limited	Australia	100.00	100.00
APTOnline Limited	India	89.00	89.00
C-Edge Technologies Limited	India	51.00	51.00
MP Online Limited	India	89.00	89.00
TCS e-Serve International Limited	India	100.00	100.00
MahaOnline Limited	India	74.00	74.00
Tata Consultancy Services (Africa) (Proprietary) Limited	South Africa	100.00	100.00
Tata Consultancy Services Qatar	Qatar	100.00	100.00
TCS Foundation	India	100.00	100.00
TRIL Bengaluru Real Estate Five Limited	India	100.00	100.00
TRIL Bengaluru Real Estate Six Limited	India	100.00	100.00
HyperVault AI Data Center Limited	India	100.00	-
Subsidiaries (held indirectly)			
ListEngage, LLC	USA	100.00	-
TCS North America Corporation	USA	100.00	-
Trident LE LLC	USA	100.00	-
Tata Consultancy Services Argentina S.A.	Argentina	100.00	100.00
Tata Consultancy Services Chile S.A.	Chile	100.00	100.00
Tata Consultancy Services De Mexico, S.A. De C.V.	Mexico	100.00	100.00
Tata Consultancy Services Do Brasil Ltda.	Brazil	100.00	100.00
TCS Inversiones Chile Limitada	Chile	100.00	100.00
TCS Solution Center S.A.	Uruguay	-	100.00
Tatasolution Center S.A.	Ecuador	100.00	100.00
MGDC S.C.	Mexico	100.00	100.00
TCS Uruguay S.A.	Uruguay	100.00	100.00
Tata Consultancy Services Guatemala, S.A.	Gautemala	100.00	100.00
3-101-951221 S.A.	Costa Rica	100.00	-
Tata Consultancy Services De Espana S.A.	Spain	100.00	100.00
Tata Consultancy Services Italia S.R.L.	Italy	100.00	100.00
Tata Consultancy Services (Portugal), Unipessoal Lda	Portugal	100.00	100.00
Tata Consultancy Services Luxembourg S.A.	Capellen (G.D. de Luxembourg)	100.00	100.00
Tata Consultancy Services Switzerland Ltd	Switzerland	100.00	100.00
Tata Consultancy Services France	France	100.00	100.00
Tata Consultancy Services Saudi Arabia	Saudi Arabia	100.00	100.00
TCS Business Services GmbH	Germany	100.00	100.00
Tata Consultancy Services Bulgaria EOOD	Bulgaria	100.00	100.00
TCS Technology Solutions GmbH	Germany	100.00	100.00
Tata Consultancy Services Osterreich GmbH	Austria	100.00	100.00
Diligenta (Europe) B.V.	Netherlands	100.00	100.00
Tata Consultancy Services Malaysia Sdn. Bhd.	Malaysia	100.00	100.00
TCS Financial Solutions Australia Pty Ltd	Australia	100.00	100.00
Tata Consultancy Services Indonesia, PT	Indonesia	100.00	100.00
Tata Consultancy Services (China) Co., Ltd.	China	100.00	100.00
Tata Consultancy Services (Thailand) Limited	Thailand	100.00	100.00
Tata Consultancy Services (Philippines) Inc.	Philippines	100.00	100.00
Tata Consultancy Services Japan, Ltd.	Japan	66.00	66.00
Tata Consultancy Services BT Private Limited	Bhutan	100.00	-
Tata Consultancy Services (South Africa) (Proprietary) Limited	South Africa	70.00	70.00

Notes:

1. On January 29, 2025, the Share Purchase and Securities Purchase Agreement (SSPA) was executed between Tata Consultancy Services Limited (Company), Tata Realty and Infrastructure Limited (TRIL), TRIL Bengaluru Real Estate Five Limited (TBRF) and TRIL Bengaluru Real Estate Six Limited (TBRS) for acquisition of 100% equity shares and optionally redeemable convertible debentures of TBRF and TBRS held by TRIL, in two tranches at a consideration of ₹1,593 crore.

On April 30, 2025, the Company paid ₹554 crore towards consideration for remaining 35% stake in equity shares and optionally redeemable convertible debentures in TBRF and TBRS.

2. TCS Solution Center S.A. merged with TCS Uruguay S.A. w.e.f. October 1, 2025.

3. On October 10, 2025, the Company acquired 100% ownership interest of ListEngage Midco, LLC along with its subsidiary ListEngage, LLC, limited liability companies in Delaware and leading Salesforce summit partner, for a consideration of $69 million (equivalent to ₹610 crore).

4. The Company incorporated a wholly owned subsidiary, HyperVault AI Data Center Limited on October 29, 2025.

5. The Company has signed a definitive agreement to acquire 100% stake in Coastal Cloud Holdings, LLC along with its subsidiaries ("Coastal Cloud"), a leading Salesforce Summit partner that specializes in Salesforce Consulting for an all cash consideration of $700 million (equivalent to ₹6,294 crore). The Company, through ListEngage Midco, LLC, a wholly owned subsidiary of the Company in U.S.A. will acquire Coastal Cloud.

6. ListEngage Midco, LLC incorporated a subsidiary, TCS North America Corporation in U.S.A. on December 15, 2025.

7. ListEngage Midco, LLC incorporated a subsidiary, Trident LE LLC in U.S.A. on December 15, 2025.

8. TCS Iberoamerica S.A. incorporated a subsidiary, 3-101-951221 S.A. in Costa Rica on December 15, 2025.

9. Tata Consultancy Services Asia Pacific Pte. Ltd. incorporated a subsidiary, Tata Consultancy Services BT Private Limited in Bhutan on December 16, 2025.

21) Related party transactions

The Company's principal related parties consist of its holding company Tata Sons Private Limited and its subsidiaries, its own subsidiaries, affiliates and key managerial personnel. The Group's material related party transactions and outstanding balances are with related parties with whom the Group routinely enter into transactions in the ordinary course of business.

Transactions and balances with its own subsidiaries are eliminated on consolidation.

Transactions with related parties are as follows:

(₹ crore)

	Three months ended December 31, 2025				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	16	264	1,131	-	1,411
Interest income	-	23	-	-	23
Purchases of goods and services (including reimbursements)	2	261	75	-	338
Brand equity contribution	94	-	-	-	94
Facility expenses	-	-	18	-	18
Lease rental	-	14	15	-	29
Contribution and advance to post employment benefit plans	-	-	-	802	802
Procurement towards Property, plant and equipment	-	165	15	-	180
Loans and advances given	-	12	7	-	19
Loans and advances recovered	-	88	1	-	89
Dividend paid	2,855	1	-	-	2,856
Guarantees given	-	-	2	-	2

(₹ crore)

	Nine months ended December 31, 2025				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	58	1,107	3,732	-	4,897
Interest income	-	57	-	-	57
Rent income	-	2	-	-	2
Purchases of goods and services (including reimbursements)	3	731	202	-	936
Brand equity contribution	275	-	-	-	275
Facility expenses	1	28	55	-	84
Lease rental	-	39	46	-	85
Contribution and advance to post employment benefit plans	-	-	-	2,318	2,318
Procurement towards Property, plant and equipment	-	363	18	-	381
Loans and advances given	-	21	11	-	32
Loans and advances recovered	-	137	2	-	139
Dividend paid	13,497	5	2	-	13,504
Guarantees given	-	-	2	-	2
Inter-corporate deposits placed	-	750	-	-	750

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of consolidated interim financial statements

(₹ crore)

	Three months ended December 31, 2024				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	17	234	1,335	-	1,586
Rent income	-	1	-	-	1
Purchases of goods and services (including reimbursements)	6	2,472	44	-	2,522
Brand equity contribution	71	-	-	-	71
Facility expenses	-	1	18	-	19
Lease rental	-	12	15	-	27
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	-	3	(1)	-	2
Contribution and advance to post employment benefit plans	-	-	-	1,628	1,628
Procurement towards Property, plant and equipment	-	101	(6)	-	95
Loans and advances given	-	23	2	-	25
Loans and advances recovered	-	10	3	-	13
Dividend paid	2,595	1	-	-	2,596
Guarantees given	-	-	1	-	1

(₹ crore)

	Nine months ended December 31, 2024				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	50	1,031	4,337	-	5,418
Rent income	-	1	-	-	1
Purchases of goods and services (including reimbursements)	9	6,443	156	-	6,608
Brand equity contribution	241	-	-	-	241
Facility expenses	1	5	58	-	64
Lease rental	-	36	45	-	81
Bad debts and advances written off, allowance for doubtful trade receivables and advances (net)	-	2	(2)	-	-
Contribution and advance to post employment benefit plans	-	-	-	3,780	3,780
Procurement towards Property, plant and equipment	-	361	16	-	377
Loans and advances given	-	577	30	-	607
Loans and advances recovered	-	28	5	-	33
Dividend paid	12,458	5	1	-	12,464
Guarantees given	-	-	1	-	1

Balances receivable from related parties are as follows:

(₹ crore)

	As at December 31, 2025				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade receivables and contract assets	22	323	1,267	-	1,612
Investments, loans, other financial assets and other assets	2	3,000	44	-	3,046
	24	**3,323**	**1,311**	**-**	**4,658**

(₹ crore)

	As at March 31, 2025				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade receivables and contract assets	17	250	1,710	-	1,977
Investments, loans, other financial assets and other assets	2	2,263	35	-	2,300
	19	**2,513**	**1,745**	**-**	**4,277**

Balances payable to related parties are as follows:

(₹ crore)

	As at December 31, 2025				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities	279	4,440	261	22	5,002
Commitments	-	794	54	-	848

(₹ crore)

	As at March 31, 2025				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities	333	5,268	306	-	5,907
Commitments	-	1,012	52	-	1,064

Material related party transactions are as follows:

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Revenue from operations				
Jaguar Land Rover Limited	855	898	2,583	2,781
Tata Steel IJmuiden BV	-	136	-	420
Purchases of goods and services (including reimbursements)				
Tejas Networks Limited	14	2,314	26	5,997
Advances given				
Tejas Networks Limited	-	-	-	500
Contribution and advance to post employment benefit plans				
Tata Consultancy Services Employees' Provident Fund	736	1,627	2,123	3,768
Inter-corporate deposits placed				
Tata Capital Housing Finance Limited	-	-	500	-
Procurement towards Property, plant and equipment				
Tata Projects Limited	161	-	-	-

Material related party balances are as follows:

	As at December 31, 2025	As at March 31, 2025
Trade receivables and contract assets		
Jaguar Land Rover Limited	833	1,028
Investments, loans, other financial assets and other assets		
Tejas Networks Limited	1,432	1,460
Tata Capital Limited	781	498
Tata Capital Housing Finance Limited	518	-
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities		
Tejas Networks Limited	4,057	4,317
Tata Realty and Infrastructure Limited	3	557
Commitments		
Tata Projects Limited	718	946

Transactions with key management personnel are as follows:

(₹ crore)

	Three months ended December 31, 2025	Three months ended December 31, 2024	Nine months ended December 31, 2025	Nine months ended December 31, 2024
Short-term benefits	2	1	6	11
Dividend paid during the period	-*	-	-*	1
Post-employment benefits	-*	-	-*	1
	2	**1**	**6**	**13**

*Represents value less than ₹0.50 crore.

The remuneration of directors and key executives is determined by the nomination and remuneration committee having regard to the performance of individuals and market trends.

22) In July 2025, the Group announced re-structuring initiatives. As a part of this initiative, the Group released / will release certain associates from the organisation whose deployment may not be feasible. Termination benefits have been provided as per policy devised for this purpose. Such termination benefits, due to their size, nature or occurrence are disclosed as “Re-structuring expenses” under “Exceptional items” in the consolidated interim financial statements.

23) On November 21, 2025, the Government of India notified the four Labour Codes - the Code on Wages, 2019, the Industrial Relations Code, 2020, the Code on Social Security, 2020, and the Occupational Safety, Health and Working Conditions Code, 2020 - consolidating 29 existing labour laws. The Ministry of Labour & Employment published draft Central Rules and FAQs to enable assessment of the financial impact due to changes in regulations. The Group has assessed and disclosed the incremental impact of these changes on the

basis of legal opinion obtained and the best information available, consistent with the guidance provided by the Institute of Chartered Accountants of India. Considering the materiality and regulatory-driven, non-recurring nature of this impact, the Group has presented such incremental impact as "Statutory impact of new Labour Codes" under "Exceptional Items" in the consolidated interim statement of profit and loss for the period ended December 31, 2025. The incremental impact consisting of gratuity of ₹1,816 crore and long-term compensated absences of ₹312 crore primarily arises due to change in wage definition. The Group continues to monitor the finalisation of Central / State Rules and clarifications from the Government on other aspects of the Labour Code and would provide appropriate accounting effect on the basis of such developments as needed.

24) Dividends

Dividends paid during nine months ended December 31, 2025 include an amount of ₹30.00 per equity share towards final dividend for the year ended March 31, 2025 and an amount of ₹22.00 per equity share towards interim dividends for nine months ended December 31, 2025. Dividends paid during the year ended March 31, 2025 include an amount of ₹28.00 per equity share towards final dividend for the year ended March 31, 2024 and an amount of ₹96.00 per equity share towards interim dividends (including special dividend) for the year ended March 31, 2025.

The Board of Directors at its meeting held on January 12 , 2026, has declared an interim dividend of ₹11.00 per equity share and special dividend of ₹46.00 per equity share.

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

Aniruddha Godbole
Partner
Membership No: 105149

Mumbai, January 12, 2026

For and on behalf of the Board

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Executive Director – President and COO
DIN: 07121802

Samir Seksaria
CFO

Yashaswin Sheth
Company Secretary

Mumbai, January 12, 2026